

**Iowa City Community School District
Iowa City, Iowa**

Comprehensive Annual Financial Report
Year Ended June 30, 2020

Iowa City Community School District Iowa City, Iowa

Comprehensive Annual Financial Report
Year Ended June 30, 2020

Official Issuing Report:
Leslie Finger
Director of Budget & Finance, Treasurer

Office Issuing Report:
Education Services Center

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Iowa City Community School District

Educational Services Center

Matthew Degner Interim Superintendent of Schools

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January 15, 2021

The Board of Education and Residents
Iowa City Community School District

I am pleased to submit the Comprehensive Annual Financial Report of the Iowa City Community School District (the District) for the fiscal year ended June 30, 2020. The report has been prepared to conform to guidelines recommended by the Association of School Business Officials International and the Government Finance Officers Association of the United States and Canada. The responsibility for the accuracy and completeness of the presentation, including all disclosures, rests with the officials of the District's Central Administration staff. We believe that the data is accurately presented, in all material respects; that the data is presented to fairly set forth the financial position and results of operations of the District as measured by the financial activity of the various funds; and that all necessary disclosures have been included in order to enable the reader to gain the maximum understanding of the District's financial affairs.

RSM US LLP, Certified Public Accountants, have issued an unmodified ("clean") opinion on the District's basic financial statements for the fiscal year ended June 30, 2020. The independent auditor's report is located at the front of the financial section of this report.

The Comprehensive Annual Financial Report is presented in four sections: introductory, financial, statistical and single audit compliance. The introductory section includes this transmittal letter, the District's organizational chart and a list of principal District officials. The financial section includes the independent auditor's report, the Management's Discussion and Analysis, the basic financial statements, and the combining and individual fund financial statements and schedules. The statistical section includes selected financial and demographic information, generally presented on a multi-year basis.

Management's discussion and analysis (MD&A) immediately follows the independent auditor's report and provides a narrative introduction, overview and analysis of the basic financial statements. The MD&A complements this letter of transmittal and should be read in conjunction with it.

The District was required to undergo a single audit in conformity with the provisions of the Single Audit Act Amendments of 1996 and U. S. Office of Management and Budget Circular A-133, *Audits of States and Local Governments and Nonprofit Organizations*. Information related to this single audit, including a schedule of expenditures of federal awards, summary schedule of prior audit findings, the independent auditor's report on internal control over financial reporting and on compliance and other matters, independent auditor's report on compliance with requirements applicable to each major program and internal control over compliance, a schedule of findings and questioned costs and corrective action plan are included in the single audit compliance section of this report.

This report includes all funds of the Iowa City Community School District. The District provides a full range of programs and services including instructional, administrative, transportation, food service, maintenance of sites and facilities, custodial, clerical, extra co-curricular and athletic activities, and community education.

Profile of the Government

In Iowa, school districts operate in accordance with Dillon's Rule with local control and have fiscal independence from other governmental entities. The District operates in compliance with the accounting principles generally accepted in the United States of America (GAAP) and currently prepares its financial statements per the Governmental Accounting Standards Board (GASB) Statement No. 34.

The Iowa City Community School District is a political subdivision of the state of Iowa and operates public schools for children in grades pre-school through twelve. The District is governed by a seven member Board of Education whose members serve four year terms and are elected on a nonpartisan basis. The Board of Directors is a policy-making and planning body whose decisions are carried out by school administrators.

The Iowa City Community School District serves nearly 115,000 people who live in Iowa City, Coralville, University Heights, Hills and North Liberty and the surrounding predominately agricultural territory in central Johnson County. Covering nearly 133 square miles, the District has developed around the City of Iowa City and The University of Iowa. The District has experienced consistent growth over the last 20 years, growing from 10,619 in 1999 to 14,284 in October 2020. The District is currently the fifth largest public school in the state of Iowa.

The District operates three comprehensive high schools, an alternative high school, three junior high schools, 21 elementary schools and center for offsite programs. The District also maintains a maintenance/warehouse facility, transportation facility, three athletic complexes and an administrative office/professional development center. The Iowa City Community School District provides a comprehensive educational program appropriate to students in early childhood and grades pre-school through twelve. These services include basic, regular and enriched academic education, special education, vocational education and numerous individualized programs such as instruction for students at-risk, gifted and talented or limited English proficiency (LEP).

Relevant financial policies

The Iowa City Community School District operates under the laws as defined in the Code of Iowa and policies as determined by the local Board of Directors. A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenues and expenditures by function and object. The District additionally tracks revenues by source of funds and expenditures by location, curricular program and funding source. Annual budgets are provided to the Department of Management and annual financial reports are provided to the Iowa Department of Education in their prescribed formats. Periodic financial reports are submitted to the Iowa Department of Education or other granting agencies for many federal and state grants.

The Iowa City Community School District's Board of Education takes its fiduciary responsibility very seriously. It has adopted policies defining a budgeting process, quarterly financial reporting, purchasing, facilities planning, insurance and cash management. Idle cash is invested in Board approved allowable investments which include certificates of deposit, money markets and pooled investment trusts. A quarterly investment report is provided indicating performance of investments to a comparative benchmark.

Economic Condition and Outlook

The District is located in the eastern part of the state, within the larger Iowa City metropolitan area and ranks as one of the top growth areas of the state. The economic condition and outlook of the District has remained strong during the past ten years despite some economic downturns experienced in many areas, including several years of high economic growth and steady enrollment growth in the local area. This growth has had a positive effect on employment and the District's tax base. The District has experienced steady increases in its tax base over the past 25 years and continued with an increase during 2020 of more than six percent.

Major employers within the District include The University of Iowa and The University of Iowa Hospitals and Clinics, American College Testing and Pearson Educational Measurement as well as two other hospitals. These employers provide a strong employment base in the education and health care industries. The unemployment rate of the Iowa City area is consistently one of the lowest in the state of Iowa and well below national averages even during periods of recessionary trends. In addition, the Iowa City area is served by two nearby regional airports and two major interstate highways. The economic development organizations of Johnson County have teamed with similar organizations in Linn County to the north to develop a "technology corridor" which combines the strong health care and education industries of Johnson County with numerous manufacturing and financial service organizations in Linn County for a wide range of economic and employment opportunities. Iowa City is also consistently promoted in major business publications as one of the best places in the United States for business, schools and quality of life. These recognitions include a #19 of 100 Best Places to Live by Money, #2 ranked "Least Stressed City in U.S." by Smartasset.com in June 2016, #1 for "Best College Town in America" by reviews.org in 2018, #2 Most Fitness-Friendly Places for 2020 by SmartAsset, #4 on the "Best Places to Live" by Liveability.com in 2019, #3 of 10 Best Places to Get a Fresh Start by Livability and #1 state in the Country by US News & World Report in 2018. The area has also been recognized for its quality as a best college town, city for college grads and workforce quality by various sources. Iowa City was also designated by UNESCO as the world's third City of Literature in 2008, the only designation in North or South America and is home to the International Writing Program. In April 2018, MSN Money named Iowa City Community School District the #1 school district in the state using an index that measures child poverty, per-pupil expenditure, graduation rate, teachers per student, percentage of adults with a bachelor's degree, preschool enrollment and advanced placement enrollment.

The tax base for the area is estimated to continue to grow in the three percent range. The District has experienced an enrollment growth of over 2,200 students over the last ten years. Future projections indicate a continued trend for enrollment increases, however, a slower annual rate is expected over the next five years. The District has experienced a decrease in its October 2020 official enrollment of 288 students, primarily due to the impact of the coronavirus.

Retail sales, building permits and population increases in the area continue to exceed that of most other areas in the state of Iowa during the past several years. Future increases are projected to continue, however economic conditions on the national and state levels in the area will impact local growth levels. A large percentage of the past area increases have occurred within the School District boundaries.

The District's budget is largely dependent on the Iowa school funding formula and various economic factors. For the years 2001-2011, the state of Iowa experienced economic conditions that hampered its ability to fund schools at annual levels of approximately four percent as in prior years. This period included an across the board reduction of \$5,600,000 from the Governor's executive order which the District used its General Fund balance to absorb the reduction. The District also implemented a cash reserve levy for fiscal year 2011 to partially replenish the fund balance and the District maintained significantly all of its programs and services during these conditions. During the last eight years, the state legislature has provided annual growth from one to four percent. The impact on future periods is unknown as funding is determined on an annual basis by the Iowa Legislature.

The District serves the nearly 14,300 students in buildings built from 1917 to 2019. The District has maintained a building envelope and roof maintenance program for many years to monitor the physical considerations of its facilities. District officials developed a 10 year facility master plan in 2013 for planning the maintenance and capital project needs of the district, including life cycle programs for major maintenance and equipment needs, remodeling and renovation of existing facilities and the construction of new facilities throughout the District. This facility plan has been followed and current projects indicate the plan will be substantially completed in the fall of 2021.

The District has completed numerous construction projects during the last ten years. The District opened Buford Garner Elementary for classes in August 2010. The District completed a major addition on Horn Elementary that was opened in August 2011 and Norman Borlaug Elementary School was opened for classes in August 2012. The District has also completed construction of a fine arts addition at City High School that opened in August 2013. The District opened Alexander Elementary School in August 2015 and completed major additions on three elementary schools and an eight classroom addition at City High School during 2015-2016. Liberty High School, a third comprehensive high school in North Liberty, Iowa was opened for in August 2017 with a total cost of nearly \$57 million. Athletic complexes and additional classroom space has been constructed on the Liberty campus to accommodate student growth and were funded from general obligation bonds as approved by district voters in September 2017. The District also completed construction of two new elementary schools that opened in August 2017 and August 2019. Major additions and renovations have started on City High School and West High School and remodeling/renovation projects are currently in various stages at eight elementary schools. These projects are the final projects of the district's facility master plan.

During 2006, the U.S. Green Building Council awarded the District a silver certificate for Leadership in Energy and Environmental Design (LEED) in connection with the construction of James Van Allen Elementary School. In 2013, the district received an Excellence in Energy Efficient Design award for the efforts in reducing energy use for Norman Borlaug Elementary School. The District has received energy efficiency awards for its renovations of Mann, Lincoln and Wood Elementary Schools and Southeast Junior High School in the past 18 months.

The District owns a parcel of land of 42 acres in the northern portion of the District for the future construction of school facilities. During the year ending June 30, 2014, the District purchased land for Alexander Elementary School that opened in August 2015 and Hoover (east) Elementary School that opened in August 2017 and Liberty High School completed in August 2017. The District also purchased the land and building utilized by the District's transportation provider. In June 2017, the District purchased a parcel of land containing approximately 18 acres near North Liberty and constructed Grant Elementary School on the parcel that opened in August 2019. The District has also purchased two units previously leased for one its special education programs. In August 2019, the District purchased a warehouse building adjacent to the transportation facility which will replace a leased warehouse facility.

In February 2007, the residents of Johnson County approved a resolution and Revenue Purpose Statement for a 1 percent local option sales tax for a period of 10 years that began on July 1, 2007. The sales tax resulted in revenues of approximately \$13-14 million annually for the first five years, \$10 million annually for several years, but have returned to amounts exceeding \$13 million due to growth in the state's economy. In February 2013, district voters approved the extension of the sales tax Revenue Purpose Statement through June 30, 2029. The District is using these sales tax revenues to fund various projects in the facility master plan as allowed in the Code of Iowa and the approved Revenue Purpose Statement. The Iowa Legislature approved an extension of the sales tax provisions to 2049 that will allow the District to access funding for future construction projects or repayment of general obligation bonds.

The high schools provide a full selection of opportunities in their music departments. Each year, the District has a high number of all-state musicians in addition to consistently earning Division I ratings at state contests. City High and West have both earned at least one Grammy Award for their music department in recent years.

The three comprehensive high schools offer athletic programs in 19 different sports. State championship honors have been earned in boys' soccer, tennis, swimming and basketball while state placing went to boys' and girls cross country, football, track, volleyball and girls' tennis and basketball during the last four years. The District's three junior high schools also offer athletic programs in 10 different sports.

The high schools also support strong programs in math, debate and journalism that regularly receive state, regional and national recognition.

Students of the District continue to achieve high rankings on college entrance exams and are recognized as National Merit Scholars. The composite averages on these exams are consistently in the top 5 percent of the state and significantly exceed the national averages. These students achieved a graduation rate over 90 percent in 2019 with over 80 percent planning to continue their education at postsecondary schools or other training opportunities.

Other Financial Information

Management of the District is responsible for establishing and maintaining an internal control designed to ensure that its assets are protected from loss, theft or misuse and to ensure that adequate accounting data are compiled to allow for the preparation of the basic financial statements in accordance with accounting principles generally accepted in the United States of America. The internal control is designed to provide reasonable, but not absolute, assurances that these objectives are met. The concept of reasonable assurance recognizes that the cost of a control should not exceed the benefits likely to be derived and the valuation of costs and benefits requires estimates and judgments by management.

Single Audit. As a recipient of federal, state and county financial assistance, the District also is responsible for ensuring that an adequate internal control is in place to ensure compliance with applicable laws and regulations related to those programs. This internal control is subject to periodic evaluation by management and external auditors.

As a part of the District's single audit, described earlier, tests are made to determine the adequacy of the internal control over financial reporting and its compliance with applicable laws and regulations, including those related to major federal awards programs. The results of the District's single audit for the fiscal year ended June 30, 2020 provided no violations of applicable laws and regulations.

Budgetary Controls. In addition, the District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the General Fund, special revenue funds, Debt Service Fund, enterprise funds and Capital Projects Fund are included in the annual appropriated budget by program. Project length financial plans are adopted for the capital projects funds and budgeted accordingly on an annual basis. The level of statutory budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all funds combined rather than at the individual fund level.

Basis of Presentation. The charts and accounts used by the District have been prepared in conformity with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board and Audits of State and Local Governmental Units issued by the American Institute of Certified Public Accountants. In addition, the District's accounting records conform to the Uniform Accounting System for Iowa Schools, Chapter 11 of the Code of Iowa and Area Educational Agencies issued by the Department of Education, state of Iowa. The chart of accounts manual is updated annually and the District is in full compliance with these requirements.

Cash Management. Cash, while temporarily idle during the year, was invested in money market deposit accounts and other short term investments as allowed by law. Interest rates have declined compared to the previous year due to coronavirus conditions and the district experienced a decrease its interest revenue compared to amounts received in previous years. This aspect of the District's finances has gained importance in recent years as the District continues efforts to maximize the yield on our investments in accordance with the Board approved investment policy without forfeiting the use of fund balances.

Risk Management. The District utilizes a single medical care facility and dedicated physician program for its workers compensation program to lower the claim expense and experience modification factor as it relates to workers' compensation. A safety committee has been operational for several years and meets periodically to review the District's facilities and programs. The District manages a self-funded health insurance plan for its employee medical and prescription program. The health plan is funded at the maximum expected claim levels and coverage for individual and aggregate stop loss coverage is purchased by the plan. The District is also managing the health plan in accordance with the provisions of the Patient Protection and Affordable Care Act.

Awards and Acknowledgments

Independent Audit. The accounting firm of RSM US LLP was selected to perform the annual audit in accordance with Chapter 11 of the Code of Iowa. In addition to meeting the requirements set forth in state statutes, the audit was designed to meet the requirements of the federal Single Audit Act Amendments of 1996 and related OMB Circular A-133. The auditor's report on the basic financial statements, combining and individual fund statements and other schedules is included in the financial section of this report.

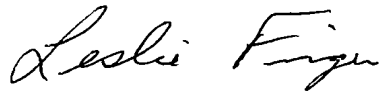
Awards. The Government Finance Officers Association of the United States and Canada (GFOA) awards a Certificate of Achievement in Financial Reporting and the Association of School Business Officials International, (ASBO) awards a Certificate of Excellence in Financial Reporting. The Iowa City Community School District received both of these Certificates for its comprehensive annual financial report for the fiscal year ended June 30, 2019. Each Certificate is a prestigious national award, recognizing conformance with the highest standards for preparation of government financial reports.

In order to be eligible to receive the Certificates, a governmental unit must publish an easily readable and efficiently organized Comprehensive Annual Financial Report (CAFR) whose contents conform to program standards. This report must satisfy both accounting principles generally accepted in the United States of America and applicable legal requirements.

These Certificates are valid for a period of one year only. The Iowa City Community School District has received these awards for the fourteen previous fiscal years Comprehensive Annual Financial Report. I believe that our current CAFR conforms to the requirements for both awards and, therefore, we are submitting to the GFOA and ASBO to determine its eligibility for each Certificate. The Iowa City Community School District had not applied for the Certificates in any years prior to 2006.

Acknowledgment: The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the accounting staff and our auditors, RSM US LLP. I would like to express my appreciation to all staff members who assisted and contributed to this report as well as members of city and county governments. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.

Respectfully submitted,

A handwritten signature in cursive script that reads "Leslie Finger". The signature is written in black ink and is positioned above the printed name and title.

Leslie J. Finger
Director of Budget and Finance, Treasurer

Iowa City Community School District

Matt Degner
Interim Superintendent of Schools

Amy Kortemeyer
Assistant Superintendent

Chace Ramey
Chief Operating Officer

Executive Directors

Scott Kibby
Executive Director of
Teaching and Learning

Diane Schumacher
Executive Director of
Teaching and Learning

Teaching & Learning Directors

Lora Daily
Director of Learning
Supports

Laura Gray
Director of Diversity &
Cultural Responsiveness

Gregg Shoultz
Director of PK-12 Online
Learning

Lisa Glenn
Director of Special
Education

Kate Callahan
Director of Student
Services

Operations Directors

Leslie Finger
Director of Budget &
Finance

Kristin Pedersen
Director of Community
Relations

Jeremy Tabor
Director of Equity &
Employee Relations

Duane VanHemert
Director of Facilities

Alison Demory
Director of Nutrition
Services

Nick Proud
Interim Director of Talent
& HR Business Services

Operations Assistant/Directors

Adam Kurth
Director of Technology &
Innovation

Jeff Barnes
Assistant Director of
Facilities

Teaching & Learning Assistant Director

Megan Clark
Assistant Director of
Special Education

Iowa City Community School District

**Board of Education and School District Officials
Year Ended June 30, 2020**

Board of Education

For the Period July 1, 2019 to November 5, 2019:

Name	Title	Term Expires
Janet Godwin	President	September 2021
Lori Roetlin	Vice President	September 2019
J.P. Claussen	Board Member	September 2021
Shawn Eyestone	Board Member	September 2019
Phil Hemingway	Board Member	September 2019
Ruthina Malone	Board Member	September 2021
Paul Roesler	Board Member	September 2019

For the Period November 5, 2019 to June 30, 2020:

Name	Title	Term Expires
Shawn Eyestone	President	September 2023
Ruthina Malone	Vice President	September 2021
Janet Godwin*	Board Member	September 2021
J.P. Claussen	Board Member	September 2021
Paul Roesler	Board Member	September 2021
Charlie Eastham	Board Member	September 2023
Lisa Williams	Board Member	September 2023

*Resigned as Board President at the June 23, 2020 meeting

School District Officials

Stephen Murley	Superintendent	Resigned June 30, 2020
Matt Degner	Interim Superintendent	Appointed June 30, 2020
Leslie J. Finger	Treasurer	Appointed
Joe Holland	Attorney	Appointed
Janet Grafft	Secretary	Appointed



ASSOCIATION OF
SCHOOL BUSINESS OFFICIALS
INTERNATIONAL

**The Certificate of Excellence in Financial Reporting
is presented to**

Iowa City Community School District

**for its Comprehensive Annual Financial Report (CAFR)
for the Fiscal Year Ended June 30, 2019.**

The CAFR meets the criteria established for
ASBO International's Certificate of Excellence.



A handwritten signature in black ink, reading 'Claire Hertz'.

Claire Hertz, SFO
President

A handwritten signature in black ink, reading 'David J. Lewis'.

David J. Lewis
Executive Director



Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**Iowa City Community School District
Iowa**

For its Comprehensive Annual
Financial Report
For the Fiscal Year Ended

June 30, 2019

Christopher P. Morill

Executive Director/CEO

Independent Auditor's Report

Board of Education
Iowa City Community School District

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, business-type activities, each major fund and the aggregate remaining fund information of the Iowa City Community School District (the District) as of and for the year ended June 30, 2020, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the District as of June 30, 2020, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, the schedule of the District's proportionate share of the net pension liability and schedule of District contributions for the Iowa Public Employees' Retirement System, the schedule of changes in the District's total other postemployment benefit plan liability and budgetary comparison information, as listed in the table of contents, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The accompanying combining nonmajor governmental fund financial statements, statement of changes in fiduciary assets and liabilities—agency funds, the accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance), and the introductory and statistical sections are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The accompanying combining nonmajor governmental fund financial statements, statement of changes in fiduciary assets and liabilities—agency funds, the accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) are the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The accompanying introductory and statistical sections are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information has not been subjected to the auditing procedures applied in the audits of the basic financial statements, and accordingly, we do not express an opinion on or provide any assurance on them.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated January 15, 2021 on our consideration of the District's internal control over financial reporting and our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

RSM US LLP

Davenport, Iowa
January 15, 2021

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

Iowa City Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2020. We encourage readers to consider this information in conjunction with the District's financial statements.

Financial Highlights

Total net position increased \$6,366,015 from \$207,622,321 in 2019 to \$213,988,336 in 2020. Total revenues for the fiscal year 2020 increased \$2,969,921 from 2019. Total expenses increased from \$212,130,128 in 2019 to \$212,130,128 in 2019.

General Fund revenues increased from \$166,434,612 in fiscal year 2019 to \$169,739,238 in fiscal year 2020, while General Fund expenditures increased from \$172,395,991 in fiscal year 2019 to \$173,099,142 in fiscal year 2020. In addition, the District transferred \$300,000 to other funds during fiscal year 2020. This resulted in a decrease in the District's General Fund balance from \$14,900,044 in fiscal year 2019 to \$11,240,140 in fiscal year 2020.

The increase in General Fund revenues for fiscal year 2020 was attributable to an increase in property tax revenues and 2.06% supplemental state aid (formerly allowable growth) as provided in the state funding formula by the Iowa Legislature. The increased expenditures in the General Fund were due to increases to staffing for increased enrollment of 286 students in October 2019.

Overview of the Financial Statements

This report consists of three parts: management's discussion and analysis (this section), the basic financial statements and required supplementary information. The basic financial statements include two kinds of statements that present different views of the District.

- The first two statements are government-wide financial statements that provide both short-term and long-term information about the District's overall financial status.
- The remaining statements are fund financial statements that focus on individual parts of the District, reporting the District's operations in more detail than the government-wide statements.
 - ✓ The governmental fund statements explain how basic services, such as regular and special education, were financed in the short term as well as what remains for future spending.
 - ✓ The statements for proprietary funds offer short-term and long-term financial information about the activities the District operates like businesses, such as food services.
 - ✓ The statements for fiduciary funds provide information about the financial relationships in which the District acts solely as a trustee or agent for the benefit of others.

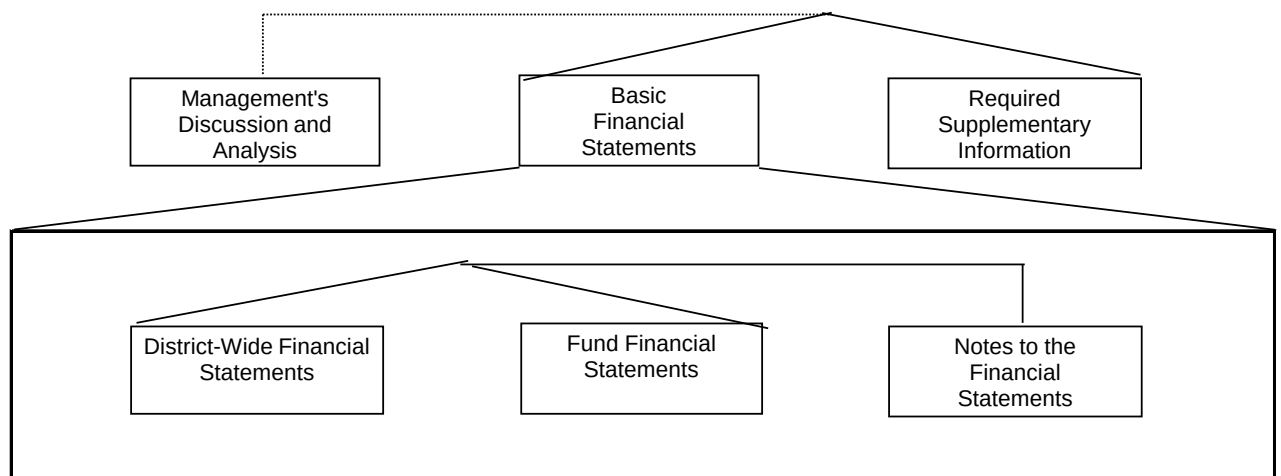
Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

The financial statements also include notes that explain some of the information in the statements and provide more detailed data. The statements are followed by a section of required supplementary information that further explains and supports the financial statements with a comparison of the District's budget for the year.

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.

Figure A-1
Iowa City Community School District Annual Financial Report



Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain. The remainder of this overview section of the management's discussion and analysis highlights the structure and contents of each of the statements.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
Government-Wide Statements		Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: food services and adult education	Instances in which the District administers resources on behalf of someone else, such as scholarship programs and student activities monies
Required financial statements	Statement of net position Statement of activities	Balance sheet Statement of revenues, expenditures and changes in fund balances	Statement of fund net position Statement of revenues, expenses and changes in net position Statement of cash flows	Statement of fiduciary net position Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital, and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of inflow/outflow information	All revenues and expenses during the year, regardless of when cash is received or paid	Revenues for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenues and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

Government-Wide Statements

The government-wide statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the District's assets, liabilities and deferred inflows/outflows of resources. All of the current year's revenues and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how they have changed. Net position – the difference between the District's assets and deferred outflows of resources and liabilities and deferred inflows of resources – are one way to measure the District's financial health or position. To assess the District's overall health, you need to consider additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities.

For the government-wide financial statements, the District's activities are divided into two categories:

- **Governmental activities:** Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.
- **Business-type activities:** The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included as a business-type activity.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

- Some funds are required by state law and by bond covenants.
- The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show that it is properly using certain revenues such as federal grants.

The District has three kinds of funds:

- **Governmental funds.** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, additional information following the governmental fund statements explains the relationship or differences between the two statements.
 - ✓ The District's governmental funds include the General Fund, Physical Plant and Equipment Levy Fund, Management Fund, Student Activity Fund, Debt Service Fund and two Capital Projects Funds.
- **Proprietary funds.** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide statements.
 - ✓ The District's enterprise fund, one type of proprietary fund, is encompassed in the District's business-type activities, but provide more detail and additional information, such as cash flows. The District currently has one enterprise fund, the School Nutrition Fund.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

- ✓ Internal service funds, the other type of proprietary fund, are optional and available to report activities that provide supplies and services for other District programs and activities. The District currently uses an Internal Service Fund to account for its self-insured health insurance and dental insurance funds.
- Fiduciary funds. The District is the trustee, or fiduciary, for assets that belong to others. These funds include Private-Purpose Trust and Agency funds.
 - ✓ Private-Purpose Trust Fund – The District accounts for assets for scholarships for individual students in this fund according to the terms of the donor's request.
 - ✓ Agency Fund – These are funds for which the District administers and accounts for certain assets in a fiduciary capacity as an agent on behalf of others.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

Financial Analysis of the District as a Whole

Net position: Figure A-3 below provides a summary of the District's net position for the year ended June 30, 2020 compared to 2019:

Figure A-3
Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total School District		Total Change
	2020	2019	2020	2019	2020	2019	2020-2019
Current and other assets	\$ 243,213,319	\$ 237,057,659	\$ 3,561,409	\$ 3,699,282	\$ 246,774,728	\$ 240,756,941	\$ 6,017,787
Capital assets	475,160,827	408,890,987	452,368	514,491	475,613,195	409,405,478	66,207,717
Total assets	718,374,146	645,948,646	4,013,777	4,213,773	722,387,923	650,162,419	72,225,504
Deferred outflows of resources	25,226,524	29,050,885	508,659	586,177	25,735,183	29,637,062	(3,901,879)
Long-term obligations	358,140,905	308,799,228	1,720,595	1,824,067	359,861,500	310,623,295	49,238,205
Other liabilities	51,104,553	53,810,336	327,559	542,535	51,432,112	54,352,871	(2,920,759)
Total liabilities	409,245,458	362,609,564	2,048,154	2,366,602	411,293,612	364,976,166	46,317,446
Deferred inflows of resources	122,581,273	107,105,517	259,885	95,477	122,841,158	107,200,994	15,640,164
Net position:							
Net investment in capital assets	269,334,048	257,625,723	452,368	514,491	269,786,416	258,140,214	11,646,202
Restricted	8,284,684	6,960,886	-	-	8,284,684	6,960,886	1,323,798
Unrestricted	(65,844,793)	(59,302,159)	1,762,029	1,823,380	(64,082,764)	(57,478,779)	(6,603,985)
Total net position	\$ 211,773,939	\$ 205,284,450	\$ 2,214,397	\$ 2,337,871	\$ 213,988,336	\$ 207,622,321	\$ 6,366,015

The District's total assets increased by 11.1% during the year ended June 30, 2020. The increase occurred primarily as a result of the investment in capital assets as detailed in Note 5. During the year ended June 30, 2020, the District completed the historical renovation of two elementary schools, completed construction on the athletic facilities at the new high school and completed the construction of a new elementary school as part of the ten year facility master plan. The District also expended approximately \$1,000,000 for furniture, fixtures and equipment for the new facilities. In addition, the District expended approximately \$59,000,000 for major renovations at two high schools, a 500 student addition at Liberty High School and remodeling projects at eight elementary schools and two junior high schools that are expected to be completed in the next year. The district also purchased a new warehouse facility for approximately \$2,200,000 to replace a previously leased facility.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

Deferred outflows of resources decreased by \$3,901,879, primarily from amounts recorded for the IPERS defined benefit pension program as detailed in Note 7.

Long-term obligations increased by \$49,238,205 and other liabilities decreased \$12,920,759, compared to the prior year. During the year ending June 30, 2020, the District issued \$65,925,000 of bonds to fund its ten-year facility master plan as detailed in Note 6 to the financial statements. Long-term obligations also decreased by approximately \$5,000,000 for amounts recorded for postemployment benefits in accordance with GASB 75 and changes in the net pension liabilities as detailed in Note 7.

The total net position of the District's business-type activities decreased by \$123,474 compared to the prior year's balance. This decrease is due primarily to a reduction in revenues of the District's nutrition program resulting from the COVID-19 closure of schools and increased negotiated personnel costs.

Changes in net position – Figure A-4 shows the changes in net position for the years ended June 30, 2020 and 2019:

Figure A-4
Changes in Net Position

	Governmental Activities		Business-Type Activities		Total School District	
	2020	2019	2020	2019	2020	2019
Revenues:						
Program revenues:						
Charges for service and sales	\$ 2,502,716	\$ 2,391,978	\$ 2,174,897	\$ 2,819,280	\$ 4,677,613	\$ 5,211,258
Operating grants and contributions	26,865,019	27,383,727	4,416,802	4,021,884	31,281,821	31,405,611
Capital grants and contributions	206,540	145,597	-	-	206,540	145,597
General revenues:						
Property taxes	101,787,188	99,804,735	-	-	101,787,188	99,804,735
Sales tax	14,810,601	14,300,041	-	-	14,810,601	14,300,041
Unrestricted state grants	69,240,057	67,212,823	-	-	69,240,057	67,212,823
Unrestricted investment earnings	2,062,291	2,782,746	31,966	34,350	2,094,257	2,817,096
Other	1,242,837	1,187,714	-	-	1,242,837	1,187,714
Total revenues	218,717,249	215,209,361	6,623,665	6,875,514	225,340,914	222,084,875
Expenses:						
Governmental activities:						
Instruction	136,961,064	132,870,361	-	-	136,961,064	132,870,361
Support services	66,121,267	66,570,948	-	-	66,121,267	66,570,948
Noninstructional programs	615,064	651,022	-	-	615,064	651,022
Other expenses	8,530,365	5,462,356	-	-	8,530,365	5,462,356
Business-type activities,						
nutritional services	-	-	6,747,139	6,575,441	6,747,139	6,575,441
Total expenses	212,227,760	205,554,687	6,747,139	6,575,441	218,974,899	212,130,128
Change in net position	6,489,489	9,654,674	(123,474)	300,073	6,366,015	9,954,747
Net position, beginning of year	205,284,450	195,629,776	2,337,871	2,037,798	207,622,321	197,667,574
Net position, end of year	\$ 211,773,939	\$ 205,284,450	\$ 2,214,397	\$ 2,337,871	\$ 213,988,336	\$ 207,622,321

Property and sales taxes and unrestricted state grants account for 82% and 82% of the total revenue for the years ended June 30, 2020 and 2019, respectively. The District's expenses primarily relate to instruction and support services which account for 93% and 94% of the total expenses for the years ended June 30, 2020 and 2019, respectively.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

Governmental Activities

Revenues for governmental activities were \$218,717,249 and expenses were \$211,676,438. This difference of \$489,484 was used primarily for the repayment of the general obligations bonds and capital loan notes. Revenues in the governmental activities increased approximately \$3,507,888 or 1.6% over 2019. Most of this increase is from property taxes and state sources as provided through the school funding formula and supplemental state aid and property taxes levied for the repayment of general obligation bonds. In addition, investment earnings decreased approximately \$723,000 compared to 2019 due to a lower balance of idle funds and lower interest rates compared to prior years.

The increase in expenses in governmental activities of \$6,121,751 or 3.0% is related to expenses for increased instructional staff due to higher student enrollments, increased salary and benefits from negotiated contract settlements and amounts recorded as pension expense. The District also recorded \$57,420 in the current year for other postemployment benefit liabilities which are attributable to the statutory requirement that the District allows retirees the ability to purchase District sponsored health insurance at the employee's own cost. The District does not offer any voluntary postretirement benefits.

The following table presents the total and net cost of the District's major governmental activities: instruction, support services, noninstructional programs and other expenses.

Figure A-5
Total and Net Cost of Governmental Activities

	2020		2019	
	Total Cost of Services	Net Cost of Services	Total Cost of Services	Net Cost of Services
Instruction	\$ 136,961,064	\$ (114,663,690)	\$ 132,870,361	\$ (109,931,253)
Support services	66,121,267	(58,844,366)	66,570,948	(59,588,754)
Noninstructional programs	615,064	(615,064)	651,022	(651,022)
Other expenses	8,530,365	(8,530,365)	5,462,356	(5,462,356)
Totals	\$ 212,227,760	\$ (182,653,485)	\$ 205,554,687	\$ (175,633,385)

- The cost financed by users of the District's programs was \$2,502,716 for 2020 and \$2,391,978 for 2019. This increase was primarily from an increase in tuition received from services provided to students from other school districts.
- Federal and state governments subsidized certain programs with grants and contributions totaling \$27,071,559 for 2020 and \$27,529,324 for 2019. The District had a decrease in Medicaid and activity due to school closures from the COVID-19 periods.
- The remaining net cost of governmental activities was financed with property tax, sales tax, state foundation aid and investment earnings.

Business-Type Activities

Revenues of the District's business-type activities were \$6,591,669, excluding \$31,966 of investment earnings, and expenses were \$6,747,139. The District's business-type activities include the School Nutrition Fund. Revenues of these activities were comprised of charges for service, federal and state reimbursements and interest income. Revenues decreased by approximately 3.7% due to a decrease in the number of meals served from the lower student participation levels as a result of COVID-19 school closures. Expenses increased by 2.6% due to additional food and supply costs to serve the increased participation and increased staff costs from negotiated settlements and accommodations to serve meals under provisions of the National School Lunch Program during COVID-19 periods.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

Financial Analysis of the District's Funds

As previously noted, the Iowa City Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental fund highlights: The financial performance of the District as a whole is reflected in its governmental funds as well. As the District completed the year, its governmental funds reported combined fund balances of \$82,648,783 which was a decrease of \$1,261,097 from last year's ending fund balances of \$83,909,880. The primary reason for the net decrease in combined fund balances in fiscal year 2020 is due decrease in General Fund offset by the financing and facility costs of the facility master plan as detail below.

- The District's General Fund financial position is the product of many factors. The primary factor resulting in the General Funds decreased balance for the year ending June 30, 2020 was due to the District's staffing related to increased enrollment for fiscal year 2020.
- The GO Bond Fund balance was added in fiscal year 2018 to account for the general obligation bonds sold in December 2017 and the construction expenditures of the District's ten year facility master plan. Bond sale proceeds and related investment earnings provided approximately \$67 million with approximately \$69 million expended for projects in the facility plan.
- The Capital Projects Fund balance increased from a balance of \$4,104,780 in fiscal year 2019 to \$4,129,340 in fiscal year 2020. This slight increase is primarily due to the use of sales tax revenues used to fund debt service on the sales tax revenue bonds issued in prior years as part of the District's ten year facility master plan.

Proprietary fund highlights: The School Nutrition Fund's net position decreased from \$1,148,724 as of June 30, 2019 to \$1,065,675 as of June 30, 2020, representing a decrease of approximately 7.8% for 2020 compared to an increase of 10.3% for 2019. The decrease was primarily due to the lower student participation levels and higher staffing costs to serve meals during the COVID-19 periods.

The Internal Service Fund for the District's self-insured health insurance fund and dental insurance funds increased net position from \$18,518,717 in 2019 to \$19,518,717 in 2020. This increase was due to a decrease in health and dental claims during the last three months of the fiscal year ending June 30, 2020 as a result of healthcare providers having limited service options during COVID-19 closures.

Budgetary Highlights

In accordance with the Code of Iowa, the Board of Education annually adopts a certified budget following required public notice and hearing for all funds, except its internal service, private-purpose trust and agency funds. The legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's certified budget is prepared on the GAAP basis. Over the course of the year, the District amended its annual (operating) budget one time to reflect additional revenue and expenditures associated with programs and activities added or changed during the fiscal year. A schedule showing the original certified and final budget amounts compared to the District's actual financial activity is included in the required supplementary information section of this report.

Legal budgetary highlights: The District's total actual revenues were \$985,149 less than the total budgeted revenues, a variance of 0.4% from the final budget.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

Total expenditures were less than budgeted. It is the District's practice to budget expenditures at the maximum authorized spending authority as defined by the Code of Iowa. The District then manages or controls General Fund spending through its line-item budget. As a result, the District's certified budget should always exceed the actual expenditures during the year. In addition, the Board of Directors has utilized a resource allocation model to manage the expenditure levels with available resources and to address the educational needs of the district's student enrollment. The increased expenditures related to the budget were primarily in the other expenditure category due to construction expenditures as planned in the District's facility master plan and funded by sales tax revenue bonds in fiscal years 2015 to 2018 and general obligation bonds in 2017 to 2020.

Capital Asset and Debt Administration

Capital assets: As of June 30, 2020, the District had invested \$475 million, net of accumulated depreciation, in the broad range of capital assets, including land, buildings, athletic facilities, computers and equipment. (See Figure A-6) This amount represents a net increase of \$66 million from last year. More detailed information about capital assets is available in Note 5 to the financial statements. Depreciation expense for the year was \$11,617,145.

The original costs of the District's capital assets were approximately \$602.6 million. Governmental funds account for approximately \$660.7 million with the remainder of \$1.8 million in the Proprietary, School Nutrition Fund.

The largest change in capital asset activity during the year occurred in the building and construction in progress categories. The building category increased primarily from the completion of historical renovations and improvements at Mann and Lincoln Elementary School, completion of Grant Elementary School and remodeling at an elementary and junior high school building. The construction-in-progress category increased due to major renovations at two high schools and remodeling and renovations at eight elementary buildings. These construction projects are expected to be completed in the next fiscal period.

Figure A-6
Capital Assets, Net of Depreciation

	Governmental Activities		Business-Type Activities		Total School District		Total Change
	2020	2019	2020	2019	2020	2019	2020-2019
Land	\$ 15,552,273	\$ 14,851,360	\$ -	\$ -	\$ 15,552,273	\$ 14,851,360	\$ 700,913
Construction-in-progress	115,238,055	99,763,845	-	-	115,238,055	99,763,845	15,474,210
Buildings	314,210,203	271,880,350	-	-	314,210,203	271,880,350	42,329,853
Improvements other than buildings	25,227,699	16,698,595	-	-	25,227,699	16,698,595	8,529,104
Furniture and equipment	4,932,597	5,696,837	452,368	514,491	5,384,965	6,211,328	(826,363)
Total	\$ 475,160,827	\$ 408,890,987	\$ 452,368	\$ 514,491	\$ 475,613,195	\$ 409,405,478	\$ 66,207,717

Long-Term Debt: As of June 30, 2020, the District had \$280.8 million in general obligation and other long-term debt outstanding. This represents an increase of approximately \$52.2 million from last year. The decrease in the early retirement obligation is due to a decrease in the number of employees accepting the District's early retirement incentive in 2020 compared to 2019 as part of management's plan to reduce and control General Fund expenditures from the prior year. The increase in general obligation bonds was related to the District's issuance of \$65,925,000 of bonds in February 2020. Sales tax revenue bonds and capital loan notes decreased by \$7,775,000 and \$845,000, respectively from the previously stated maturities.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

(See Figure A-7) More detailed information about the District's long-term liabilities are available in Note 6 to the financial statements.

Figure A-7
Outstanding Long-Term Obligations

	Total School District		Total Change
	2020	2019	2020-2019
General obligation bonds	\$ 176,905,000	\$ 115,095,000	\$ 61,810,000
Premium on general obligation bonds	12,406,326	7,882,663	4,523,663
Capital loan notes	4,510,000	5,355,000	(845,000)
Sales tax revenue bonds	82,495,000	90,270,000	(7,775,000)
Premium on sales tax revenue bonds	2,106,408	2,589,513	(483,105)
Capital lease	381,196	752,915	(371,719)
Early retirement	939,501	5,962,182	(5,022,681)
Compensated absences	1,092,228	728,277	363,951
Totals	\$ 280,835,659	\$ 228,635,550	\$ 52,200,109

Factors Bearing on the District's Future

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District received supplemental state aid (formerly allowable growth) of 2% and a one-time 2% supplemental state aid allocation for fiscal year 2014 and supplemental state aid at 4%, 1.25%, 2.25%, 1.11% and 1% for fiscal years 2015 through 2019 respectively. For the fiscal year 2020, the District received supplemental state aid of 2.06% and will receive 2.3% for fiscal year 2021. The Iowa Legislature will take up the issue to determine the level of the supplemental state aid for FY2022 and beyond starting in their January 2021 session. As the District's General Fund budget is comprised of approximately 85% salary and benefits, wage and salary adjustments realized through the negotiations process will have a significant impact on future budget spending decisions. In February 2017, significant legislative changes to Chapter 20 of the Code of Iowa as it relates to formal negotiations were enacted and the District continues to review the flexibility for control of these expenditures.
- The Iowa school funding formula is highly dependent upon student enrollment. The District has experienced enrollment growth of 443, 321, 386, 168, 343, 309, 213, 86 and 286 students in the last nine years, respectively. The enrollment decline of approximately 288 students in fiscal year ending 2021 will impact the District's budget in fiscal year ending 2022, however, the overall impact cannot be determined until the supplemental state aid allocation is determined. The combined enrollment increase of over 2,200 students in the last ten years have required additional staff and materials for educational programs and the demand for additional space to the existing facilities and construction of new facilities. New facilities as well as additions and renovations to existing facilities are included in the District's Facility Master Plan and will also increase expenditures related to utilities, custodial, maintenance and support staff. The District utilizes a demographer to assist with projecting future enrollment increases with updates provided to the District every two years.
- In September 2017, District voters approved the issuance of \$191,525,000 of General Obligation Bonds to fund identified construction and renovation projects of the Facility Master Plan. The District sold the approved bonds in three installments: \$58,955,000 in November 2017, \$66,645,000 in January 2019 and \$65,925,000 in February 2020. These bonds will fund multiple construction, remodeling and renovation projects with completion of projects planned in 2022. The bonds will be paid from property taxes collected from 2018 to 2038.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

- The District sold Capital Loan Notes of \$9,435,000 in December 2014. The proceeds from the sale of these Notes funded various construction projects in the Facility Master Plan and will be repaid from the existing Physical Plant and Equipment Levy (PPEL) through 2025. In addition, the District sold School Infrastructure Sales, Services and Use Tax Revenue Bonds of approximately \$60 million in September 2015, \$10,000,000 in December 2016, \$11,185,000 in January 2017, \$21,200,000 in August 2017 and \$9,085,000 in June 2018. These revenue funds have been used for projects at Coralville Central Elementary, Lucas Elementary School, City High School, construction of Liberty High School and Hoover (East) Elementary School and major renovation projects at Lucas Elementary School and West High School. The Revenue Bonds will be repaid from sales tax revenues collected through 2029.
- Liberty High School, a new comprehensive high school, was opened in August 2017 with a cost of approximately \$57 million and an enrollment of 740 students. In addition to the building, the District completed the construction of the football and track stadium in August 2018 and athletic venues for soccer, softball and baseball near the high school building for the 2019-20 school year. The District anticipated student attendance at Liberty would approach 1,500 students by 2021 and had started construction of additional classroom space to accommodate this enrollment growth. The classroom space addition to accommodate the student growth was planned for completion in August 2023 in the original Facility Master Plan, however, student growth accelerated this project for completion in August 2020. This will require increased expenditures for instructional staff, support and custodial expenditures in future fiscal years.
- The enrollment increases experienced in recent years has included significant additional student needs for students requiring English language learning programs. The District has hired additional staff with the appropriate certifications to serve these students. The District expended approximately \$1,900,000 more during the year ended June 30, 2020 than direct categorical program revenue. The District will continue to request additional modified supplemental spending authority for this Limited English Program deficit from the School Budget Review Committee to support these expenditures in future periods.
- The District provides health insurance to its employees utilizing a self-funded insurance plan with specific and aggregate reinsurance coverage as required by the State of Iowa. The District's plan is subject to various insurance coverage and reporting provisions of the Patient Protection and Affordable Care Act (ACA) and the District believes its plan complies with all coverage and reporting requirements of the ACA. The transitional reinsurance fees included in the ACA rules are being paid from the current premium levels of the self-funded plan and the District anticipates the impact of the coverage and reporting rules to be minimal based upon existing insurance benefits offered to its staff. The health insurance industry continues to operate in an extremely uncertain and rising cost environment and the District will continue to monitor the need for plan changes and any impact on its employees.
- The ten year Facility Master Plan, originally approved in December 2013 and subsequently updated in April 2015, February 2017 and February 2019, includes nearly \$122 million of future construction and renovation projects. As previously noted, taxpayers within the District approved a bond referendum authorizing \$191,925,000 of general obligation bonds to fund the projects in the Facility Master Plan. As the District nears the completion of the projects funded from these bonds, the District anticipates the need to begin planning for additional facility needs in a second facility plan. However, the funding for any future facility projects will be determined at a later date.

Iowa City Community School District

Management's Discussion and Analysis For Fiscal Year Ended June 30, 2020

- The District has been impacted by the coronavirus (COVID-19) pandemic since March 2020. All District facilities were closed and classes held in an online program from March 23 to May 29, 2020. The District continued to serve free meals to all district students during this period under provisions and resources of the National School Lunch Program to assist with food insecurity concerns. Increased mitigation and protective measures were implemented to protect students and staff with these costs partially offset by reduced transportation, substitute teacher costs and activity program expenditures. The District also received approximately \$1,600,000 from the Elementary and Secondary School Emergency Relief (ESSER) portion of the federal Coronavirus Aid, Relief, and Economic Security (CARES) Act enacted on March 27, 2020. The District plans to expend these resources for instructional and technology needs including additional curriculum development and chromebooks for a 1:1 technology initiative at the elementary grade levels. As of June 30, 2020, the District will carryforward \$1,434,605 of these funds for use in fiscal year 2021. In addition, the District received approximately \$300,000 of CARES funding for technology related needs in July 2020.
- In accordance with requirements from the Iowa Legislature and the Iowa Department of Education for the 2020-2021 school year, the District has developed a comprehensive Return to Learn and online learning program. The District has implemented significant health and safety protocols for the protection of students and staff to mitigate the impact of COVID-19 in our schools and community. In July 2020, the Board of Directors approved a \$500,000 budget line for fiscal year 2021 for COVID related expenditures. These expenditures will be funded with a combination of district cash reserves, FEMA claims, private donations and the CARES funding. The District is also providing free lunch and breakfast meals during the 2020-2021 school year under provisions of the National School Lunch Program.
- State legislators approved the extension of SAVE for 20 years to 2049. The SAVE resources will provide the District with additional borrowing capacity for as much as \$145 million for facility improvement projects with \$35 million being available as early as October 2022. The Board of Education has the option, and could choose to use the annual SAVE revenue stream to pay down general obligation bond debt rather than spending on additional facility related projects. The legislative action requires districts to submit a new revenue purpose statement (RPS) to its voters prior to expending funds received from the extension period or related to certain improvements to district athletic facilities. The District's current RPS is valid until 2029.

Contacting the District's Financial Management

This financial report is designed to provide the District's citizens, taxpayers, customers, investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Leslie Finger, District of Budget & Finance and Treasurer, Iowa City Community School District, 1725 North Dodge Street, Iowa City, Iowa 52245.

Iowa City Community School District

Statement of Net Position
June 30, 2020

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash, cash equivalents, and investments	\$ 123,821,461	\$ 2,165,101	\$ 125,986,562
Restricted cash	2,941,742	-	2,941,742
Receivables:			
Property tax:			
Current year	670,037	-	670,037
Succeeding year	101,481,415	-	101,481,415
Income surtax	7,403,410	-	7,403,410
Sales taxes	434,796	-	434,796
Other	2,183,039	-	2,183,039
Due from other governments	3,499,277	314,743	3,814,020
Internal balances	(871,918)	871,918	-
Inventories	-	207,004	207,004
Prepaid expenses	1,650,060	2,643	1,652,703
Total current assets	243,213,319	3,561,409	246,774,728
Noncurrent assets:			
Capital assets:			
Nondepreciable:			
Land	15,552,273	-	15,552,273
Construction-in-progress	115,238,055	-	115,238,055
Depreciable capital assets, net of accumulated depreciation	344,370,499	452,368	344,822,867
Total noncurrent assets	475,160,827	452,368	475,613,195
Total assets	718,374,146	4,013,777	722,387,923
Deferred Outflows of Resources			
Pension related amounts	24,924,303	508,659	25,432,962
Other post employment benefit related amounts	302,221	-	302,221
Total deferred outflows of resources	25,226,524	508,659	25,735,183

See notes to basic financial statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	13,175,361	43,369	13,218,730
Salaries and benefits payable	16,493,818	36,634	16,530,452
Claims payable	1,535,850	-	1,535,850
Accrued interest payable	789,086	-	789,086
Unearned revenues	1,464,393	247,556	1,711,949
Due to fiduciary fund	3,120	-	3,120
General obligation bonds	6,300,000	-	6,300,000
Capital loan notes	865,000	-	865,000
Capital lease	381,196	-	381,196
Revenue bonds	8,065,000	-	8,065,000
Early retirement	939,501	-	939,501
Compensated absences	1,092,228	-	1,092,228
Total current liabilities	51,104,553	327,559	51,432,112
Noncurrent liabilities:			
Total other postemployment benefit liability	10,639,021	-	10,639,021
Net pension liability	84,309,150	1,720,595	86,029,745
General obligation bonds, net of unamortized premium and discounts	183,011,326	-	183,011,326
Capital loan notes	3,645,000	-	3,645,000
Revenue bonds, net of unamortized premium	76,536,408	-	76,536,408
Total noncurrent liabilities	358,140,905	1,720,595	359,861,500
Total liabilities	409,245,458	2,048,154	411,293,612
Deferred Inflows of Resources			
Property tax	101,481,415	-	101,481,415
Income surtax	7,403,410	-	7,403,410
Pension related amounts	12,570,441	259,885	12,830,326
Other post employment benefit related amounts	1,126,007	-	1,126,007
Total deferred inflows of resources	122,581,273	259,885	122,841,158
Net Position			
Net investment in capital assets	269,334,048	452,368	269,786,416
Restricted for:			
Capital improvement and equipment	453,674	-	453,674
Debt service	3,532,128	-	3,532,128
Federal and state programs	2,811,326	-	2,811,326
Management levy purposes	1,227,797	-	1,227,797
Student activities	259,759	-	259,759
Unrestricted	(65,844,793)	1,762,029	(64,082,764)
Total net position	\$ 211,773,939	\$ 2,214,397	\$ 213,988,336

Iowa City Community School District

Statement of Activities Year Ended June 30, 2020

Functions/Programs	Expenses	Program Revenues		
		Charges for Services and Sales	Operating Grants, and Contributions	Capital Grants, and Contributions
Governmental Activities				
Instruction:		-		
Regular instruction	\$ 88,909,757	\$ 477,507	\$ 10,323,769	\$ -
Special instruction	42,102,558	1,559,621	6,974,656	-
Other instruction	5,948,749	103,125	2,858,696	-
	<u>136,961,064</u>	<u>2,140,253</u>	<u>20,157,121</u>	<u>-</u>
Support services:				
Student services	5,181,419	-	-	-
Instructional services	11,124,732	-	-	-
Administration services	18,150,702	-	178,150	-
Operation and maintenance	20,185,313	293,817	-	206,540
Transportation services	4,949,353	68,646	-	-
Other support services, AEA flowthrough	6,529,748	-	6,529,748	-
	<u>66,121,267</u>	<u>362,463</u>	<u>6,707,898</u>	<u>206,540</u>
Noninstructional programs	<u>615,064</u>	<u>-</u>	<u>-</u>	<u>-</u>
Other:				
Long-term debt interest	8,116,117	-	-	-
Bond issuance costs	379,187	-	-	-
Depreciation (unallocated), excluding direct depreciation	35,061	-	-	-
	<u>8,530,365</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total governmental activities	<u>212,227,760</u>	<u>2,502,716</u>	<u>26,865,019</u>	<u>206,540</u>
Business-type activities, nutritional services	<u>6,747,139</u>	<u>2,174,897</u>	<u>4,416,802</u>	<u>-</u>
Total primary government	<u>\$ 218,974,899</u>	<u>\$ 4,677,613</u>	<u>\$ 31,281,821</u>	<u>\$ 206,540</u>
General revenues:				
Property taxes levied for:				
General purposes				
Debt service				
Capital outlay				
Local option sales tax				
Unrestricted state grants				
Unrestricted investment earnings				
Other				
Total general revenues				
Changes in net position				
Net position, beginning of year				
Net position, end of year				

See notes to basic financial statements.

Net (Expense) Revenue and Changes in Net Position		
Governmental Activities	Business-Type Activities	Total
\$ (78,108,481)	\$ -	\$ (78,108,481)
(33,568,281)	-	(33,568,281)
(2,986,928)	-	(2,986,928)
(114,663,690)	-	(114,663,690)
(5,181,419)	-	(5,181,419)
(11,124,732)	-	(11,124,732)
(17,972,552)	-	(17,972,552)
(19,684,956)	-	(19,684,956)
(4,880,707)	-	(4,880,707)
-	-	-
(58,844,366)	-	(58,844,366)
(615,064)	-	(615,064)
(8,116,117)	-	(8,116,117)
(379,187)	-	(379,187)
(35,061)	-	(35,061)
(8,530,365)	-	(8,530,365)
(182,653,485)	-	(182,653,485)
-	(155,440)	(155,440)
(182,653,485)	(155,440)	(182,808,925)
80,866,263	-	80,866,263
9,718,090	-	9,718,090
11,202,835	-	11,202,835
14,810,601	-	14,810,601
69,240,057	-	69,240,057
2,062,291	31,966	2,094,257
1,242,837	-	1,242,837
189,142,974	31,966	189,174,940
6,489,489	(123,474)	6,366,015
205,284,450	2,337,871	207,622,321
\$ 211,773,939	\$ 2,214,397	\$ 213,988,336

Iowa City Community School District

Balance Sheet—Governmental Funds
June 30, 2020

	General	Physical Plant and Equipment Levy
Assets		
Cash, cash equivalents, and investments	\$ 24,963,852	\$ 2,096,950
Restricted cash	-	-
Receivables:		
Property tax:		
Current year	419,384	106,997
Succeeding year	72,666,630	12,105,274
Income surtax	7,403,410	-
Sales tax	-	-
Other	2,155,541	-
Due from other governments	2,252,396	-
Due from other funds	275,994	-
Prepaid items	1,552,575	84,369
Total assets	\$ 111,689,782	\$ 14,393,590
Liabilities, Deferred Inflows of Resources and Fund Balances		
Liabilities:		
Accounts payable	2,416,119	1,466,452
Salaries and benefits payable	16,465,994	-
Due to other funds	29,976	12,617
Due to fiduciary funds	3,120	-
Unearned revenue	1,464,393	-
Total liabilities	20,379,602	1,479,069
Deferred inflows of resources:		
Unavailable revenue—property tax	72,666,630	12,105,274
Unavailable revenue—income surtax	7,403,410	-
Unavailable revenue—sales tax	-	-
Total deferred inflows of resources	80,070,040	12,105,274
Fund balance:		
Nonspendable	1,552,575	84,369
Restricted	2,811,326	724,878
Unassigned	6,876,239	-
Total fund balances	11,240,140	809,247
Total liabilities, deferred inflows of resources and fund balances	\$ 111,689,782	\$ 14,393,590

See notes to basic financial statements.

Capital Projects	Debt Service	General Obligation Bonds	Nonmajor Governmental Funds	Total Governmental Funds
\$ - 2,941,742	\$ 111,836 -	\$ 72,977,150 -	\$ 2,440,352 -	\$ 102,590,140 2,941,742
-	92,816	-	50,840	670,037
-	12,959,530	-	3,749,981	101,481,415
-	-	-	-	7,403,410
434,796	-	-	-	434,796
-	-	-	27,498	2,183,039
1,246,881	-	-	-	3,499,277
-	-	-	54,494	330,488
12,778	-	338	-	1,650,060
<u>\$ 4,636,197</u>	<u>\$ 13,164,182</u>	<u>\$ 72,977,488</u>	<u>\$ 6,323,165</u>	<u>\$ 223,184,404</u>
17,782	-	9,128,881	\$ 146,127	\$ 13,175,361
25,352	-	2,472	-	16,493,818
28,927	-	7,788	-	79,308
-	-	-	-	3,120
-	-	-	-	1,464,393
<u>72,061</u>	<u>-</u>	<u>9,139,141</u>	<u>146,127</u>	<u>31,216,000</u>
-	12,959,530	-	3,749,981	101,481,415
-	-	-	-	7,403,410
434,796	-	-	-	434,796
<u>434,796</u>	<u>12,959,530</u>	<u>-</u>	<u>3,749,981</u>	<u>109,319,621</u>
12,778	-	338	-	1,650,060
4,116,562	204,652	63,838,009	2,427,057	74,122,484
-	-	-	-	6,876,239
<u>4,129,340</u>	<u>204,652</u>	<u>63,838,347</u>	<u>2,427,057</u>	<u>82,648,783</u>
<u>\$ 4,636,197</u>	<u>\$ 13,164,182</u>	<u>\$ 72,977,488</u>	<u>\$ 6,323,165</u>	<u>\$ 223,184,404</u>

Iowa City Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities June 30, 2020

Total governmental fund balances		\$	82,648,783
Amounts reported for governmental activities in the statement of net position are different because:			
Capital assets, net of accumulated depreciation, used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.			475,160,827
Other long-term assets are not available to pay for current period expenditures and, therefore, are reported as a deferred inflow of resources in the funds.			434,796
Internal service funds are used by management to charge the costs of certain services to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position:			
Current assets	\$	21,256,945	
Liabilities		(1,535,850)	19,721,095
Internal service funds allocated to business-type activities			(1,148,722)
Accrued interest payable on long-term liabilities is not due and payable in the current period and, therefore, is not reported as a liability in the governmental funds.			(789,086)
Deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds, as follows:			
Deferred outflows, pension		24,924,303	
Deferred outflows, other post employment benefit		302,221	
Deferred inflows, pension		(12,570,441)	
Deferred inflows, other post employment benefit		(1,126,007)	11,530,076
Long-term liabilities, including bonds payable and compensated absences, are not due and payable in the current period and, therefore, are not reported as liabilities in the governmental funds:			
General obligation bonds, current		(6,300,000)	
General obligation bonds, noncurrent		(170,605,000)	
Capital loan notes, current		(865,000)	
Capital loan notes, noncurrent		(3,645,000)	
Sales tax revenue bonds, current		(8,065,000)	
Sales tax revenue bonds, noncurrent		(74,430,000)	
Capital lease		(381,196)	
Early retirement, current		(939,501)	
Net pension liability		(84,309,150)	
Total other postemployment benefits liability		(10,639,021)	
Compensated absences, current		(1,092,228)	
Unamortized premium		(14,512,734)	(375,783,830)
Net position of governmental activities		\$	211,773,939

See notes to basic financial statements.

Iowa City Community School District

**Statement of Revenues, Expenditures and Changes in Fund Balances
Governmental Funds
Year Ended June 30, 2020**

	General	Physical Plant and Equipment Levy
Revenues:		
Local sources:		
Local tax	\$ 73,001,352	\$ 11,202,843
Tuition	1,559,621	-
Interest	249,945	12,534
Other	2,338,826	-
State sources	85,803,017	267,067
Federal sources	6,786,477	-
Total revenues	169,739,238	11,482,444
Expenditures:		
Current:		
Instruction:		
Regular instruction	73,419,834	-
Special instruction	39,844,800	-
Other instruction	2,223,152	-
	115,487,786	-
Support services:		
Student services	5,896,997	-
Instructional services	10,668,508	-
Administration services	15,352,532	-
Operation and maintenance	15,697,323	373,890
Transportation services	3,446,006	1,099,637
Other support services, AEA flowthrough	6,529,748	-
	57,591,114	1,473,527
Noninstructional programs	20,242	-
Capital outlay	-	8,798,491
Debt service:		
Principal	-	-
Interest and fiscal charges	-	-
Bond issuance costs	-	-
	-	-
Total expenditures	173,099,142	10,272,018
Excess (deficiency) of revenues over expenditures	(3,359,904)	1,210,426
Other financing sources (uses):		
Transfers in	-	-
Transfers out	(300,000)	(955,063)
Issuance of bonds	-	-
Bond premium	-	-
Total other financing sources (uses)	(300,000)	(955,063)
Net change in fund balances	(3,659,904)	255,363
Fund balances, beginning of year	14,900,044	553,884
Fund balances, end of year	\$ 11,240,140	\$ 809,247

See notes to basic financial statements.

Capital Projects	Debt Service	General Obligation Bonds	Nonmajor Governmental Funds	Total Governmental Funds
\$ -	\$ 9,718,089	\$ -	\$ 7,864,911	\$ 101,787,195
-	-	-	-	1,559,621
179,761	16,199	1,293,370	9,717	1,761,526
35,630	-	170,910	2,673,047	5,218,413
14,800,144	231,672	-	190,898	101,292,798
-	-	-	-	6,786,477
15,015,535	9,965,960	1,464,280	10,738,573	218,406,030
-	-	-	5,850,488	79,270,322
-	-	-	-	39,844,800
-	-	-	2,579,505	4,802,657
-	-	-	8,429,993	123,917,779
-	-	-	-	5,896,997
-	-	-	-	10,668,508
-	6,700	-	871,873	16,231,105
-	-	-	2,463,448	18,534,661
-	-	-	400,199	4,945,842
-	-	-	-	6,529,748
-	6,700	-	3,735,520	62,806,861
570,306	-	-	-	590,548
3,242,567	-	68,626,468	-	80,667,526
-	13,106,719	-	-	13,106,719
-	9,600,172	-	-	9,600,172
-	-	379,187	-	379,187
-	22,706,891	379,187	-	23,086,078
3,812,873	22,713,591	69,005,655	12,165,513	291,068,792
11,202,662	(12,747,631)	(67,541,375)	(1,426,940)	(72,662,762)
-	12,133,165	-	300,000	12,433,165
(11,178,102)	-	-	-	(12,433,165)
-	-	65,925,000	-	65,925,000
-	-	5,476,665	-	5,476,665
(11,178,102)	12,133,165	71,401,665	300,000	71,401,665
24,560	(614,466)	3,860,290	(1,126,940)	(1,261,097)
4,104,780	819,118	59,978,057	3,553,997	83,909,880
\$ 4,129,340	\$ 204,652	\$ 63,838,347	\$ 2,427,057	\$ 82,648,783

Iowa City Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances of Governmental Funds to the Statement of Activities Year Ended June 30, 2020

Net change in fund balances, total governmental funds	\$	(1,261,097)
Amounts reported for governmental activities in the statement of activities are different because:		
Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures. However, for governmental activities, those costs are shown in the statement of net position and allocated over their estimated useful lives as depreciation expense in the statement of activities. This is the amount by which capital outlay exceeds depreciation expense in the period:		
Capital outlay	\$ 77,886,985	
Depreciation expense	(11,617,145)	66,269,840
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds, change in unavailable revenues.		10,457
Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities. Also, governmental funds report the effect of premiums when debt is first issued, whereas these amounts are deferred and amortized in the statement of activities. in the statement of net position and does not affect the statement of activities.		
Repayment of long-term debt	13,106,719	
Proceeds from general obligation bonds	(65,925,000)	
Proceeds from bond premium	(5,476,665)	(58,294,946)
Amortization of bond premium		1,436,107
Interest on long-term debt in the statement of activities differs from the amount reported in governmental funds because interest is recorded as an expenditure in the funds when due. In the statement of activities, however, interest expense is recognized as the interest accrues, regardless of when it is due.		
		47,948
Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds:		
Other postemployment benefits expense	(1,000,025)	
Pension expense	(6,620,328)	
Change in early retirement	5,022,681	
Change in compensated absences	(363,951)	(2,961,623)
Internal service funds are used by management to charge the costs of certain activities to individual funds. The change in net position in the internal service fund is reported with governmental activities in the statement of activities.		
		1,202,378
Change in Internal Service Fund allocation to business-type activities.		40,425
Change in net position of governmental activities	\$	6,489,489

See notes to basic financial statements.

Iowa City Community School District

Statement of Net Position Proprietary Funds June 30, 2020

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Assets		
Current assets:		
Cash, cash equivalents, and investments	\$ 2,165,101	\$ 21,231,321
Due from other governments	314,743	-
Due from other funds	-	25,624
Inventories	207,004	-
Prepaid expenses and deposits	2,643	-
Total current assets	2,689,491	21,256,945
Noncurrent assets, capital assets, net of accumulated depreciation	452,368	-
Total assets	3,141,859	21,256,945
Deferred outflows of resources, pension related amounts	508,659	-
Total assets and deferred outflows of resources	\$ 3,650,518	\$ 21,256,945
Liabilities		
Current liabilities:		
Accounts payable	\$ 43,369	\$ -
Salaries and benefits payable	36,634	-
Due to other funds	276,804	-
Claims payable	-	1,535,850
Unearned revenue	247,556	-
Total current liabilities	604,363	1,535,850
Noncurrent liabilities, net pension liability	1,720,595	-
Total liabilities	2,324,958	1,535,850
Deferred inflows of resources, pension related amounts	259,885	-
Net position		
Investment in capital assets	452,368	-
Unrestricted	613,307	19,721,095
Total net position	1,065,675	19,721,095
Total liabilities, deferred inflows of resources and net position	\$ 3,650,518	\$ 21,256,945
Total enterprise funds net position	\$ 1,065,675	
Amounts reported for business-type activities in the statement of net position are different because:		
Internal service funds are used by management to charge the costs of certain services to individual funds. Certain assets and liabilities of the internal service funds are included in business-type activities in the statement of net position.	1,148,722	
Net position of business-type activities	\$ 2,214,397	

See notes to basic financial statements.

Iowa City Community School District

**Statement of Revenues, Expenses and Changes in Net Position
Proprietary Funds
Year Ended June 30, 2020**

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Operating revenue:		
Charges for services:		
Food sales	\$ 2,174,897	\$ -
Internal service charges	-	14,315,121
Employee contributions	-	3,758,382
Total operating revenue	2,174,897	18,073,503
Operating expenses:		
Food consumed	2,569,456	-
Salaries and benefits	3,320,301	-
Supplies, services and repairs	342,574	-
Depreciation	66,972	-
Food and meal delivery:		
Salaries and benefits	382,013	-
Truck expenses	8,400	-
Depreciation	16,998	-
Claims, losses and administrative fees	-	17,092,333
Other	-	79,554
Total operating expenses	6,706,714	17,171,887
Operating income (loss)	(4,531,817)	901,616
Nonoperating revenues:		
Federal appropriations	3,902,447	-
State appropriations	49,667	-
Federal food commodities	464,688	-
Interest income	31,966	300,762
Total nonoperating revenues	4,448,768	300,762
Changes in net position	(83,049)	1,202,378
Net position, beginning of year	1,148,724	18,518,717
Net position, end of year	\$ 1,065,675	\$ 19,721,095

See notes to basic financial statements.

Iowa City Community School District

**Reconciliation of Changes in Net Position of Enterprise Fund to the
Statement of Activities
Year Ended June 30, 2020**

Net changes in net position in the enterprise fund	\$ (83,049)
Amounts reported for proprietary activities in the statement of activities are different because:	
Internal service funds are used by management to charge the costs of various activities internally to individual funds. The net expense of certain activities of internal service funds is reported with business-type activities.	<u>(40,425)</u>
Change in net position of business-type activities	<u><u>\$ (123,474)</u></u>

See notes to basic financial statements.

Iowa City Community School District

Statement of Cash Flows Proprietary Funds Year Ended June 30, 2020

	Nonmajor Enterprise Fund - School Nutrition	Internal Service Fund
Cash flows from operating activities:		
Cash received from sales of breakfasts and lunches	\$ 2,251,691	\$ -
Cash received from charges for service	-	14,315,121
Cash received from employees for benefits	-	3,758,382
Cash payments to suppliers for goods and services	(2,443,643)	(79,554)
Cash payments to employees for services	(2,716,442)	-
Cash payments for employee benefits	(1,159,880)	-
Cash payments for claims, losses and administrative fees	-	(17,097,012)
Net cash provided by (used in) operating activities	(4,068,274)	896,937
Cash flows from noncapital financing activities:		
Operating grants received	3,658,534	-
Proceeds from interfund accounts	293,867	-
Payments to interfund accounts	-	(10,188)
Net cash provided by (used in) noncapital financing activities	3,952,401	(10,188)
Cash flows from capital and related financing activities, acquisition of capital assets	(21,847)	-
Cash flows from investing activities, interest on cash and cash equivalents	31,966	300,762
Net increase (decrease) in cash and cash equivalents	(105,754)	1,187,511
Cash and cash equivalents:		
Beginning	2,270,855	20,043,810
Ending	\$ 2,165,101	\$ 21,231,321
Operating income (loss)	\$ (4,531,817)	\$ 901,616
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation	83,970	-
Federal food commodities consumed	464,688	-
Change in assets and liabilities:		
Decrease in purchased inventory	(82,457)	-
Decrease in prepaid expenses and deposits	73,862	-
Increase in accounts payable	20,694	-
Increase in salaries and benefits payable	(312,462)	-
Increase in unearned revenue	76,794	-
Increase in net pension liability	(103,472)	-
Decrease in deferred outflows of resources	77,518	-
(Decrease) in deferred inflows of resources	164,408	-
(Decrease) in claims payable	-	(4,679)
Total adjustments	463,543	(4,679)
Net cash provided by (used in) operating activities	\$ (4,068,274)	\$ 896,937
Noncash item, noncapital financing activities, food commodities donated to the District from the U.S. Department of Agriculture	\$ 464,688	\$ -

See notes to basic financial statements.

Iowa City Community School District

Statement of Fiduciary Net Position
Fiduciary Funds
June 30, 2020

	Private Purpose Trust Fund Winbigler Estate Trust Fund	Agency Funds
Assets		
Cash and cash equivalents	\$ 71,576	\$ 536,546
Due from primary government	-	3,158
Prepaid expenses	-	675
	<u>71,576</u>	<u>\$ 540,379</u>
Liabilities , due to private individuals	<u>-</u>	<u>\$ 540,379</u>
Net Position , restricted for students in need of financial assistance	<u>\$ 71,576</u>	

See notes to basic financial statements.

Iowa City Community School District

Statement of Changes in Fiduciary Net Position
Fiduciary Funds
Year Ended June 30, 2020

	Private Purpose Trust Fund <u>Winbigler Estate</u> Trust Fund
Net position held in trust, beginning of year	<u>\$ 71,576</u>
Net position held in trust, end of year	<u><u>\$ 71,576</u></u>

See notes to basic financial statements.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies

Nature of operations: The Iowa City Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades pre-school through twelve. The geographic area served includes the cities of Iowa City, Coralville, University Heights, Hills and North Liberty and the surrounding predominately agricultural territory in central Johnson County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

Reporting entity: For financial reporting purposes, the Iowa City Community School District has included all funds, organizations, agencies, boards, commissions and authorities for which the District is financially accountable. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board (GASB) has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on the organization, or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. In addition, the GASB issued Statement No. 39, which sets forth additional criteria to determine whether certain organizations for which the District is not financially accountable should be reported as component units based on the nature and significance of their relationship with the District. These criteria include 1) the economic resources being received or held by the separate organization being entirely or almost entirely for the direct benefit of the District, its component units or its constituents, 2) the District being entitled to, or having the ability to otherwise access, a majority of the economic resources received or held by the Organization and 3) the economic resources received or held by an individual organization that the District is entitled to, or has the ability to otherwise access, are significant to the District. Based on these criteria, the District is considered a primary government and there are no other organizations or agencies whose financial statements should be combined and presented with these basic financial statements.

The District participates in several jointly governed organizations for which the District is not financially accountable or that the nature and significance of the relationships with the District are such that exclusion does not cause the District's financial statements to be misleading or incomplete. Among those organizations are the Johnson County Conference Board, Iowa City Conference Board, Johnson County Compensation Board and the Iowa City Assessors Examining Board.

Significant accounting policies:

Government-wide financial statements: The statement of net position and the statement of activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. However, interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The statement of net position presents the District's nonfiduciary assets, liabilities and deferred inflows/outflows of resources, with the difference reported as net position.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest that are restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual funds are reported as separate columns in the fund financial statements. Nonmajor governmental funds and nonmajor enterprise funds are aggregated and presented in a single column.

Fund accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for by providing a separate set of self-balancing accounts which comprise its assets, liabilities, deferred inflows/outflows of resources, fund balance/net position, revenues and expenditures or expenses, as appropriate. The District has the following funds:

Governmental Fund Types: Governmental fund types are those funds through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets, liabilities and deferred inflows/outflows of resources is reported as fund balance. The following are the District's major governmental funds:

General Fund: is the general operating fund of the District. All general tax revenues and other receipts that are not allocated by law or contractual agreement to some other fund are accounted for in this fund. The general operating expenses of the District, including instructional, support and other costs, are paid from the fund.

Physical Plant and Equipment Levy Fund: a capital projects fund, accounts for the property taxes levied and collected by the District to be used for the purchase and improvement of grounds; purchase, construction and remodeling of buildings; and major equipment purchases.

Capital Projects Fund: a capital projects fund, is used to account for all resources restricted for the acquisition and construction of major capital facilities as authorized by the voters in the District. Revenues of the Fund primarily consist of state-wide sales taxes.

Debt Service Fund: accounts for property taxes levied and collected for the payment of general long-term debt principal, interest and related costs.

General Obligation Bonds Fund: a capital projects fund, used to account for all resources restricted for the acquisition and construction of major capital facilities as authorized by voters in the District. Revenue of the fund consists of sale of general obligation bonds.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Accounts for the revenue sources that are legally restricted to expenditures for specific purposes.

Management Fund: Accounts for property taxes levied and collected which are restricted for tort liability insurance premiums, unemployment compensation insurance claims and early retirement incentive payments.

Student Activity Fund: Accounts for money held by the District which is restricted on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular or extracurricular activities of the District.

Proprietary Fund Types: Proprietary fund types are used to account for the District's ongoing operations and activities which are similar to those often found in the private sector. They are accounted for on the flow of economic resources measurement focus and use the accrual basis of accounting. Under this method, revenues are recorded when earned and expenses are recorded at the time the liabilities are incurred.

Enterprise Funds: Enterprise funds are used to account for those operations for which a fee is charged to external users for goods and/or services. The following enterprise fund of the District is considered nonmajor.

School Nutrition Fund: Accounts for the food service operations of the District.

Internal Service Fund: The Internal Service Fund is used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District's Internal Service Fund is used to account for the premium and claim payments for the self-insured health insurance and dental plan for District employees and retirees.

The District also reports the following fiduciary fund types:

Private Purpose Trust Fund: This fund is utilized to account for assets held by the District in a fiduciary capacity according to the terms of the donor's request of granting scholarships at City High School.

Agency Funds: These funds are utilized to account for assets held by the District in the fiduciary capacity as an agent on behalf of others. The Agency fund is custodial in nature (assets equal liabilities) and does not involve measurement of results of operations. The Agency funds of the District include:

Flexible benefits account: for the District's flexible benefit plan activity.

School children's aid: for providing services to at risk students at any District building.

Opportunity funds: for providing services to at risk families in two District elementary buildings.

School based health clinics: partnerships with local medical community to provide health services to at risk children.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

The government-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the "economic resources measurement focus" and accrual basis of accounting. Agency funds follow the accrual basis of accounting but do not have a measurement focus as they report only assets and liabilities. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax and income surtax is recognized as revenue in the year for which it is levied and budgeted for. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the District considers revenues to be available if they are collected within 60 days after year-end.

Property tax when levied and budgeted for, other taxes and intergovernmental revenues when eligibility requirements have been met (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be measurable and are recognized as revenue, if available. All other revenue items are recognized only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, early retirement payments, other postemployment benefits, pension contributions and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital financing and capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general resources. When program expenses are incurred and there are both restricted and unrestricted net position available to finance the program it is the District's policy to first apply cost-reimbursement grant resources to such programs then the general revenues.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's proprietary funds are charges for services. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses, depreciation on capital assets and claims. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Cash, cash equivalents and investments: The cash balances of most District funds are nonpooled and separately invested. Investments in the Iowa Schools Joint Investment Trust and nonnegotiable certificates of deposit are stated at amortized cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the date of purchase have a maturity date of no more than three months.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Property tax and income surtax receivable: Property tax receivable is recognized on the levy or lien date, which is the date the tax asking is certified by the Board of Education.

Current year property tax receivable represents unpaid taxes related to April 2019 levy certification. Property taxes become due and collectible in September and March of the following fiscal year with a 1½% per month penalty for delinquent payments. This tax levy is based on January 1, 2018 assessed property valuations and is revenue for fiscal year ended June 30, 2020.

The succeeding year property tax receivable represents taxes certified by the Board of Education in April 2020. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. The tax asking represents a lien which is effective on the first day of that calendar year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2021, the year for which it is levied and budgeted for.

The income surtax receivable represents the fiscal year 2020 levy which will be collected by the District in fiscal year 2021. Although the income surtax receivable has been recorded as of June 30, 2020, the related revenue is a deferred inflow of resources in both the government-wide and fund financial statements and will not be recognized as revenue until the year ended June 30, 2021, the year for which it is levied and budgeted for.

Due from other governments: Due from other governments represent amounts due from the state of Iowa, other school districts, and other various grants, reimbursements and shared revenues.

	General	Capital Projects	Nonmajor Enterprise
Due from other governments:			
Federal	\$ 1,537,459	\$ -	\$ -
State	201,396	-	314,743
Local option sales tax	-	1,246,881	-
Other	513,541	-	-
	<u>\$ 2,252,396</u>	<u>\$ 1,246,881</u>	<u>\$ 314,743</u>

Prepaid expenses: Prepaid expenses consist primarily of insurance costs paid for the succeeding year and are recorded as prepaid expenses in both government-wide and fund financial statements on the consumption method.

Inventories: Inventories of the enterprise fund consist of food. The inventories are valued on a first-in, first-out basis, with purchased inventory valued at the lower of cost or market and government-contributed commodities valued at the acquisition value as of the date received. Unused commodities at balance sheet date are reported as inventory.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Capital assets: Capital assets, which include land, construction-in-progress, buildings, improvements, furniture, equipment and vehicles, are reported in the applicable governmental or business-type activities columns in the government-wide statement of net position and the proprietary fund statement of net position. Capital assets are recorded at historical cost. Donated capital assets are recorded at estimated acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of one year.

	<u>Threshold</u>
Description:	
Buildings and improvements other than buildings	\$ 2,500
Furniture and equipment:	
School Nutrition Fund equipment	500
Other furniture and equipment	2,500
Vehicles	2,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

	<u>Estimated Lives</u>
Description:	
Buildings	50 years
Improvements other than buildings	20 years
Furniture and equipment:	
School Nutrition Fund equipment	12 years
Other furniture and equipment	5 years
Vehicles:	
School Nutrition Fund vehicles	5 years
Other vehicles	7 years

The District's collection of library books and other similar assets are not capitalized. These collections are unencumbered, held for public exhibition and education, protected, cared for and preserved and subject to District policy that requires proceeds from the sale of these items, if any, to be used to acquire other collection items.

Deferred outflows of resources: Deferred outflows of resources on the statement of net position represent a consumption of net position that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense, pension contributions from the District after the measurement date but before the end of the District's reporting period.

Salaries and benefits payable: Payroll and related expenditures for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities. Incurred but unpaid payroll expense for all employees as of June 30, 2020, has also been accrued as a liability as of June 30, 2020.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Unearned revenue: Unearned revenue consists of grant awards received but unearned by the fulfillment of an eligibility provision and cash received in the School Nutrition Fund for meals to be provided during fiscal year 2021.

Deferred inflows of resources: Deferred inflows of resources represent an acquisition of net position that applies to a future period(s) and will not be recognized as an inflow of resources (revenue) until that time. Although certain revenues are measurable, they are not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. The governmental funds report unavailable revenues from three sources: property taxes, income surtaxes and intergovernmental revenue. The amounts related to intergovernmental revenue are deferred and recognized as an inflow of resources in the period that the amounts become available. In both the District's government-wide and governmental fund financial statements, property tax revenue and income surtaxes for the succeeding year are reported as a deferred inflow of resources and will become an inflow in the year they are levied and budgeted for. The District's statement of net position also includes unrecognized pension and OPEB related amounts as a deferred inflow.

Compensated absences: District employees with a contract of 200 days or more accumulate a limited amount of earned but unused vacation for subsequent use or for payment upon termination, death or retirement. A liability is recorded when incurred in the government-wide financial statements. A liability for these amounts is reported in governmental funds only for employees that have resigned or retired which is considered due. The compensated absences liability has been computed based on rates of pay in effect as of June 30, 2020. The compensated absences liability attributable to the governmental activities will be paid primarily by the General Fund.

Self-insurance: The District is self-insured for health and dental benefits. The District's premiums and claims are accounted for in the Internal Service Fund. Premiums are charged by the Internal Service Fund to operating funds based upon number of employees and selected coverage in each fund.

Long-term liabilities: In the governmental fund financial statements, principal and interest on long-term debt, early retirement payments, other postemployment benefits and compensated absences are recognized as liabilities only when payment has matured, or becomes due. The face amount of debt issued is reported as other financing sources. Premiums/discounts received on debt issuances are reported as other financing sources/uses. Principal payments and bond issuance costs are reported as debt service expenditures. In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. As of June 30, 2020, the District did not have any long-term obligations related to its business-type activities. Bond premiums and deferred amounts on refunding are amortized over the life of the debt using a method which approximates the effective interest method. Bond issuance costs are recognized as an expense in the period they are incurred.

Pensions: The net pension liability, deferred inflows and outflows of resources related to pensions, pension expense, information about the fiduciary net position of the Iowa Public Employees Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Total OPEB liability: For purposes of measuring the total other postemployment benefit (OPEB) liability, deferred inflows of resources related to OPEB and OPEB expense, information has been based on an actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total of OPEB liability will be paid primarily by the General Fund.

Fund balance: In the governmental fund financial statements, fund balances are classified as follows:

Nonspendable: Amounts which cannot be spent either because they are in a nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes pursuant to constraints formally imposed by the District's Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts through resolution.

Assigned: Amounts constrained by the District's intent to use them for a specific purpose. It is the District's policy that the authority to assign fund balance has been delegated by the District's Board of Education to the Chief Financial Officer through the budget process.

Unassigned: All amounts not included in other spendable classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. Residual deficit amounts of other governmental funds would also be reported as unassigned.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy is to pay the expenditure from restricted fund balance and then from less-restrictive classifications—committed, assigned and then unassigned fund balances.

Net position: Net position represents the difference between assets plus deferred outflows of resources and liabilities plus deferred inflows of resources. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets and also excludes unspent debt proceeds. Unspent debt proceeds for general obligation bonds are \$72,977,151 for governmental activities. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors or laws or regulations of other governments. Net position restricted through enabling legislation consists of \$459,674 for capital improvements and equipment and \$11,227,797 for management levy purposes.

The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position are available.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds.

Iowa City Community School District

Notes to Basic Financial Statements

Note 1. Nature of Operations, Reporting Entity and Significant Accounting Policies (Continued)

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as "due to/from other funds" in the fund financial statements. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control: As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules—Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of functional areas as required by state statute for its legally adopted budget.

Note 2. Cash and Investments

Interest rate risk: As a means of limiting its exposure to fair value losses arising from rising interest rates, the District's investment policy requires operating funds to be invested in investments that mature within 397 days or less. When investing other than operating funds, the investments must mature according to the needs of the funds. Operating funds of the District are funds which are reasonably expected to be used during a current budget year or within 15 months of receipt.

Credit risk: The Board authorizes the District to invest funds in excess of current needs in interest-bearing savings, money market and checking accounts at the District's authorized depositories; the Iowa Schools Joint Investment Trust Program; obligations of the United States governments, its agencies and instrumentalities; and certificates of deposit and other evidences of deposit at federally insured Iowa depository institutions. The Iowa Schools Joint Investment Trust is rated AAAm with Standard & Poor's Global Ratings. The District's policy does not further limit the District's investments in relation to credit risk.

The Iowa Schools Joint Investment Trust is valued at an amortized cost based on the criteria set forth in GASB No. 79.

Concentration of credit risk: The District's general investment policy is to apply the prudent-person rule. In making investments, the District shall exercise the care, skill, prudence and diligence under the circumstances that a prudent person acting in a like capacity and familiar with such matters would use to meet the goals of the investment program.

The investment in Iowa Schools Joint Investment Trust is not subject to concentration of credit risk.

Custodial credit risk: For deposits, custodial credit risk is the risk that in the event of a bank failure, the government's deposits may not be returned to it. For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party.

It is the District's policy to require that time deposits in excess of FDIC insurable limits be secured by collateral or private insurance to protect public deposits in a single financial institution if it were to default. Chapter 12c of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized.

Iowa City Community School District

Notes to Basic Financial Statements

Note 2. Cash and Investments (Continued)

As of June 30, 2020, none of the District's deposit bank balance or investments were exposed to custodial credit risk. The District's deposits with financial institutions were entirely covered by federal depository insurance or insured by the state through pooled collateral, state sinking funds and by the state's ability to assess for lost funds. In addition, the District's investments were not insured but were held by the District or its Agent in the District's name.

A reconciliation of cash and investments as shown on the financial statements of the District follows:

Depository accounts	\$ 98,052,490
Certificate of deposits with maturities greater than three months	5,587,205
Iowa Schools Joint Investment Trust	25,897,406
Total cash, cash equivalents and investments	<u>\$ 129,537,101</u>
Government-wide statement of net position—unrestricted	\$ 125,986,562
Government-wide statement of net position—restricted	2,941,742
Statement of fiduciary net position	608,797
Total cash, cash equivalents and investments	<u>\$ 129,537,101</u>

Note 3. Interfund Receivables and Payables

Individual interfund receivable and payable balances as of June 30, 2020, are as follows:

Receivable Fund	Payable Fund	Amount
Major Fund, General Fund	Nonmajor Enterprise Fund, School Nutrition Fund	\$ 275,994
Nonmajor Fund, Management Fund	Nonmajor Enterprise Fund, School Nutrition Fund	810
Nonmajor Fund, Internal Service Fund	Major Fund, General Fund	25,624
Agency Funds	Major Fund, General Fund	3,120
Nonmajor Fund, Student Activity Fund	Major Fund, General Fund	4,352
Nonmajor Fund, Student Activity Fund	Major Fund, General Obligation Bond Fund	7,788
Nonmajor Fund, Student Activity Fund	Major Fund, Capital Project Fund	28,927
Nonmajor Fund, Student Activity Fund	Major Fund, Physical Plant and Equipment Levy	12,617
		<u>\$ 359,232</u>

Interfund balances result from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system and (3) payments between funds are made.

Iowa City Community School District

Notes to Basic Financial Statements

Note 4. Interfund Transfers

Detail of interfund transfers for the year ended June 30, 2020, is as follows:

Transfer To	Transfer From	Amount
Nonmajor Governmental Funds:		
Special Revenue Fund, Student Activity	Major Fund, General Fund	\$ 300,000
Major Fund, Debt Service	Major Fund, Capital Projects Fund	11,178,102
Major Fund, Debt Service	Major Fund, Physical Plant and Equipment Levy	955,063
		<u>\$ 12,433,165</u>

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, (2) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorization and 3) to transfer for debt service fund for principal payments on outstanding debt that was issued for school infrastructure purposes.

Note 5. Capital Assets

Capital assets activity for the year ended June 30, 2020, is as follows:

	Balance, Beginning of Year	Increases	Decreases	Balance, End of Year
Governmental Activities:				
Capital assets not being depreciated:				
Land	\$ 14,851,360	\$ 700,913	\$ -	\$ 15,552,273
Construction-in-progress	99,763,845	65,997,760	50,523,550	115,238,055
Total capital assets not being depreciated	114,615,205	66,698,673	50,523,550	130,790,328
Capital assets being depreciated:				
Buildings	353,967,301	50,825,990	-	404,793,291
Improvements other than buildings	26,974,972	9,814,208	-	36,789,180
Furniture, equipment and vehicles	27,333,437	1,071,664	16,743	28,388,358
Total capital assets being depreciated	408,275,710	61,711,862	16,743	469,970,829
Less accumulated depreciation for:				
Buildings	82,086,951	8,496,137	-	90,583,088
Improvements other than buildings	10,276,377	1,285,104	-	11,561,481
Furniture, equipment and vehicles	21,636,600	1,835,904	16,743	23,455,761
Total accumulated depreciation	113,999,928	11,617,145	16,743	125,600,330
Total capital assets being depreciated, net	294,275,782	50,094,717	-	344,370,499
Governmental activities capital assets, net	<u>\$ 408,890,987</u>	<u>\$ 116,793,390</u>	<u>\$ 50,523,550</u>	<u>\$ 475,160,827</u>
Business-Type Activities:				
Furniture, equipment and vehicles	\$ 1,786,033	\$ 21,847	\$ -	\$ 1,807,880
Less accumulated depreciation	1,271,542	83,970	-	1,355,512
Business-type activities capital assets, net	<u>\$ 514,491</u>	<u>\$ (62,123)</u>	<u>\$ -</u>	<u>\$ 452,368</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 5. Capital Assets (Continued)

Depreciation expense was charged by the District as follows:

Governmental activities:

Instruction:

Regular	\$ 7,599,898
Special	1,011,281
Other	872,950

Support services:

Administration services	1,661,499
Operation and maintenance	436,456

11,582,084

Unallocated depreciation, excluding direct depreciation

35,061

Total governmental activities depreciation expense

\$ 11,617,145

Business-type activities, nutritional services

\$ 83,970

Note 6. Long-Term Liabilities

Changes in long-term liabilities for the year ended June 30, 2020 are summarized as follows:

	Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
General obligation bonds	\$ 115,095,000	\$ 65,925,000	\$ 4,115,000	\$ 176,905,000	\$ 6,300,000
Sales tax revenue bonds	45,830,000	-	3,715,000	42,115,000	3,900,000
Notes from direct borrowings and direct placements:					
Sales tax revenue bonds	44,440,000	-	4,060,000	40,380,000	4,165,000
Capital loan notes	5,355,000	-	845,000	4,510,000	865,000
Other debt:					
Premium on general obligation bonds	7,882,663	5,476,665	953,002	12,406,326	-
Premium on sales tax revenue bonds	2,589,513	-	483,105	2,106,408	-
Other liabilities:					
Capital lease	752,915	-	371,719	381,196	381,196
Early retirement	5,962,182	827,808	5,850,489	939,501	939,501
Total other postemployment benefits liability	10,581,580	57,441	-	10,639,021	-
Net pension liability	89,379,276	-	5,070,126	84,309,150	-
Compensated absences	728,277	1,051,007	687,056	1,092,228	1,092,228
Total	\$ 328,596,406	\$ 73,337,921	\$ 26,150,497	\$ 375,783,830	\$ 17,642,925
Business-type activities, net pension liability	\$ 1,824,067	\$ -	\$ 103,472	\$ 1,720,595	

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

Early retirement: The District provided early retirement incentives for certain employees who met certain qualifications as established by the Board of Education. The cost of the incentives is borne by the District in whole. Eligible participants cannot, and do not, contribute to the incentive program.

Early retirement participation is based on the following criteria, but may be adjusted annually to assist management in budgetary restraints:

1. It is available to employees who are at least 55 years of age. The Board of Directors reserves the right to limit the number of early retirements.
2. The employee has completed at least ten (10) years of service to the District and has been actively employed during the school year that they request early retirement benefits.
3. The employee must be eligible for the receipt of IPERS retirement benefits or allowance pursuant to Chapter 97B of the Code of Iowa.
4. The employee submits a written notification of their intent to apply for early retirement benefits prior to March 1 in the year the early retirement is to begin.
5. The benefits offered to District employees shall be a District contribution to a Special Pay Deferral Plan (SPDP) of 50%–60% of current year's base salary depending on years of service and calculated on the average full time equivalence (FTE) during the years of service.

During the year ended June 30, 2020, 20 District employees requested early retirement, to be payable during the year ending June 30, 2021. The benefits to be paid to these employees will be made in October 2020 and January 2021 and the total of \$939,501 are generally liquidated from the Management Fund. During the year ended June 30, 2020, the District paid \$5,070,126 of early retirement benefits approved during the year ended June 30, 2019 from the Management Fund.

Compensated absences: Compensated absences are generally liquidated by the General Fund. The District's liability for compensated absences is expected to be utilized or paid out within one year.

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

Bonds payable: Details of the District's general obligation bond, general obligation notes and revenue bonds indebtedness as of June 30, 2020 are as follows:

On February 11, 2020, the District issued \$65,925,000 in General Obligation Bonds, Series 2020, maturing June 1, 2021 through June 1, 2039 with an interest rate of 2.25% to 5% to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District.

Year ending June 30,	General Obligation Bonds - Series 2020		
	Interest Rates	Principal	Interest
2021	5.00%	\$ 1,670,000	\$ 2,223,731
2022	5.00	1,785,000	2,140,231
2023	5.00	2,220,000	2,050,981
2024	5.00	2,270,000	1,939,981
2025	5.00	2,740,000	1,826,481
2026	5.00	2,910,000	1,689,481
2027	5.00	3,250,000	1,543,981
2028	5.00	3,415,000	1,381,481
2029	4.00	3,585,000	1,210,731
2030	3.00	3,725,000	1,067,331
2031	3.00	3,840,000	955,581
2032	3.00	3,955,000	840,381
2033	2.25	4,075,000	721,731
2034	2.25	4,165,000	630,044
2035	2.25	4,260,000	536,331
2036	2.38	4,355,000	440,481
2037	2.38	4,460,000	337,050
2038	2.50	4,565,000	231,125
2039	2.50	4,680,000	117,000
		<u>\$ 65,925,000</u>	<u>\$ 21,884,134</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On January 8, 2019, the District issued \$66,645,000 in General Obligation Bonds, Series 2019 maturing June 1, 2020 through June 1, 2038 with an interest rate of 2.75% to 5% to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District.

General Obligation Bonds - Series 2019				
Year ending June 30,	Interest Rates	Principal	Interest	
2021	5.00%	\$ 2,685,000	\$ 2,764,225	
2022	5.00	2,760,000	2,629,975	
2023	2.75	2,840,000	2,491,975	
2024	5.00	2,925,000	2,413,875	
2025	5.00	3,015,000	2,267,625	
2026	5.00	3,110,000	2,116,875	
2027	5.00	3,215,000	1,961,375	
2028	5.00	3,320,000	1,800,625	
2029	5.00	3,435,000	1,634,625	
2030	5.00	3,550,000	1,462,875	
2031	4.00	3,675,000	1,285,375	
2032	4.00	3,810,000	1,138,375	
2033	4.00	3,950,000	985,975	
2034	4.00	4,095,000	827,975	
2035	3.63	4,250,000	664,175	
2036	3.63	4,410,000	510,112	
2037	3.75	4,580,000	350,250	
2038	3.75	4,760,000	178,500	
		<u>\$ 64,385,000</u>	<u>\$ 27,484,787</u>	

On November 29, 2017, the District issued \$58,955,000 in General Obligation Bonds, Series 2017C maturing June 1, 2019 through June 2037 with an interest rate of 2.50% to 5% to finance the remaining projects of the District's facility master plan.

General Obligation Bonds - Series 2017C				
Year ending June 30,	Interest Rates	Principal	Interest	
2021	5.00%	\$ 1,945,000	\$ 1,671,580	
2022	5.00	2,040,000	1,574,330	
2023	5.00	2,145,000	1,472,330	
2024	5.00	2,250,000	1,365,080	
2025	5.00	2,365,000	1,252,580	
2026	5.00	2,485,000	1,134,330	
2027	4.00	2,605,000	1,010,080	
2028	2.50	2,710,000	905,880	
2029	2.50	2,780,000	838,130	
2030	2.75	2,850,000	768,630	
2031	2.90	2,925,000	690,255	
2032	2.95	3,010,000	605,430	
2033	3.00	3,100,000	516,635	
2034	3.05	3,195,000	423,635	
2035	3.15	3,290,000	326,188	
2036	3.20	3,395,000	222,553	
2037	3.25	3,505,000	113,916	
		<u>\$ 46,595,000</u>	<u>\$ 14,891,562</u>	

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On December 3, 2014, the District issued \$9,430,000 in General Obligation School Capital Loan Notes, Series, 2014, maturing June 1, 2015 through June 1, 2025 with a interest rates of 2.00% to 2.25% to provide funds to purchase, construct, equip and relocate the One Vision Transitional Schoolhouse; remodel, improve, furnish, and equip Van Allen Elementary; install air-conditioning in and renovate Hoover Elementary; remodel, improve, furnish, and equip Hills Elementary, Weber Elementary and Coralville Central Elementary; Phase I renovation of City High School; and construct, build, furnish and equip East (Hoover) Elementary School. The Notes are general obligations of the District to be paid from a continuing annual levy upon all of the taxable valuation not to exceed one dollar thirty-four cents (\$1.34) per one thousand dollars (\$1,000).

Capital Loan Notes, Series 2014				
Years ending June 30,	Interest Rates	Principal		Interest
2021	2.00%	\$	865,000	\$ 92,563
2022	2.00		880,000	75,263
2023	2.00		900,000	57,663
2024	2.00		920,000	39,663
2025	2.25		945,000	21,263
		\$	4,510,000	\$ 286,415

On August 25, 2015, the District issued \$60,030,000 in Sales Tax Revenue Bonds, maturing June 1, 2016 through June 1, 2029 with interest rates of 3.00% to 5.00% to provide funds to build, furnish and equip a new high school building; to build, furnish, and equip addition(s) to existing school buildings in the District; to remodel, repair, expand and improve existing school buildings in the District. The Bonds are not general obligations of the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Sales Tax Revenue Bonds, Series 2015				
Years ending June 30,	Interest Rates	Principal		Interest
2021	5.00%	\$	3,900,000	\$ 1,682,205
2022	5.00		4,100,000	1,487,205
2023	5.00		4,300,000	1,282,205
2024	5.00		4,515,000	1,067,205
2025	5.00		4,745,000	841,455
2026	3.00		4,885,000	699,105
2027	3.25		5,045,000	540,343
2028	3.50		5,220,000	363,768
2029	3.55		5,405,000	181,067
		\$	42,115,000	\$ 8,144,558

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On December 22, 2016, the District issued \$10,000,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.25% to provide funds to construct, build, furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Sales Tax Revenue Bonds, Series 2016				
Interest Rates		Principal		Interest
Years ending June 30,				
2021	2.25%	\$	790,000	\$ 173,925
2022	2.25		805,000	156,150
2023	2.25		825,000	138,038
2024	2.25		840,000	119,475
2025	2.25		855,000	100,575
2026	2.25		875,000	81,338
2027	2.25		895,000	61,650
2028	2.25		915,000	41,513
2029	2.25		930,000	20,925
		\$	7,730,000	\$ 893,589

On January 19, 2017, the District issued \$11,185,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.56% to provide funds to construct, build, furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax.

Sales Tax Revenue Bonds, Series 2017				
Interest Rates		Principal		Interest
Years ending June 30,				
2021	2.56%	\$	885,000	\$ 221,312
2022	2.56		900,000	198,656
2023	2.56		920,000	175,616
2024	2.56		940,000	152,064
2025	2.56		960,000	128,000
2026	2.56		980,000	103,424
2027	2.56		1,000,000	78,336
2028	2.56		1,020,000	52,736
2029	2.56		1,040,000	26,624
		\$	8,645,000	\$ 1,136,768

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

On August 2, 2017, the District issued \$21,200,000 in Sales Tax Revenue Bonds, maturing June 1, 2018 through June 1, 2029 with interest rates of 2.38% to provide funds to construct, build furnish and equip a new elementary building and construct a road to the building and to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax law.

Sales Tax Revenue Bonds, Series 2017B				
Years ending June 30,	Interest Rates		Principal	Interest
2021	2.38%	\$	1,630,000	\$ 394,961
2022	2.38		1,680,000	356,167
2023	2.38		1,730,000	316,183
2024	2.38		1,785,000	275,009
2025	2.38		1,840,000	232,526
2026	2.38		1,895,000	188,734
2027	2.38		1,950,000	143,633
2028	2.38		2,010,000	97,223
2029	2.38		2,075,000	49,385
		\$	16,595,000	\$ 2,053,821

On June 26, 2018, the District issued \$9,085,000 in Sales Tax Revenue Bonds, maturing June 1, 2019 through June 1, 2029 with interest rates of 3.30% to remodel, repair, improve, renovate, furnish and equip existing school buildings in the District. The Bonds are payable solely from the proceeds of the Bonds and tax revenues received by the District under the tax law.

Sales Tax Revenue Bonds, Series 2018				
Years ending June 30,	Interest Rates		Principal	Interest
2021	3.30%	\$	860,000	\$ 244,530
2022	3.30		740,000	216,150
2023	3.30		750,000	191,730
2024	3.30		775,000	166,980
2025	3.30		800,000	141,405
2026	3.30		830,000	115,005
2027	3.30		855,000	87,615
2028	3.30		885,000	59,400
2029	3.30		915,000	30,195
		\$	7,410,000	\$ 1,253,010

The District has pledged a portion of future sales tax revenues to repay \$60,030,000 in sales tax increment bonds issued in August 2015, \$10,000,000 in sales tax revenue bonds issued December 2016 and \$11,185,000 in sales tax revenue bonds issued January 2017, \$21,200,000 in sales tax revenue bonds issued August 2017 and \$9,085,000 in sales tax revenue bonds issued June 2018. The bonds are payable solely from the sales taxes received by the District. Total principal and interest remaining on the bonds is \$95,976,746, payable through 2029. For the current year, principal and interest paid and total incremental sales tax revenues were \$10,782,599 and \$14,800,144, respectively.

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

A summary of the District's general obligation bonds, capital loan notes and sales tax revenue bonds principal and interest maturities are as follows:

Year ending June 30,	General Obligation Bonds		Capital Loan Notes		Sales Tax Revenue Bonds	
	Principal	Interest	Principal	Interest	Principal	Interest
2021	\$ 6,300,000	\$ 6,659,536	\$ 865,000	\$ 92,563	\$ 8,065,000	\$ 2,716,933
2022	6,585,000	6,344,536	880,000	75,263	8,225,000	2,414,328
2023	7,205,000	6,015,286	900,000	57,663	8,525,000	2,103,772
2024	7,445,000	5,718,936	920,000	39,663	8,855,000	1,780,733
2025	8,120,000	5,346,686	945,000	21,263	9,200,000	1,443,961
2026	8,505,000	4,940,686	-	-	9,465,000	1,187,606
2027	9,070,000	4,515,436	-	-	9,745,000	911,577
2028	9,445,000	4,087,986	-	-	10,050,000	614,640
2029	9,800,000	3,683,486	-	-	10,365,000	308,196
2030	10,125,000	3,298,836	-	-	-	-
2031	10,440,000	2,931,211	-	-	-	-
2032	10,775,000	2,584,186	-	-	-	-
2033	11,125,000	2,224,341	-	-	-	-
2034	11,455,000	1,881,654	-	-	-	-
2035	11,800,000	1,526,694	-	-	-	-
2036	12,160,000	1,173,146	-	-	-	-
2037	12,545,000	801,216	-	-	-	-
2038	9,325,000	409,625	-	-	-	-
2039	4,680,000	117,000	-	-	-	-
	<u>\$176,905,000</u>	<u>\$ 64,260,483</u>	<u>\$ 4,510,000</u>	<u>\$ 286,415</u>	<u>\$ 82,495,000</u>	<u>\$ 13,481,746</u>

Capital lease: The District has entered into a lease agreement as lessee for financing the acquisition of computer equipment. This agreement qualifies as a capital lease for accounting purposes and therefore, has been recorded at the present value of the future minimum lease payments as of the inception date.

The assets under capital lease are as follows:

Computer equipment	\$ 1,508,519
Accumulated depreciation	(1,093,676)
Net book value	<u>\$ 414,843</u>

The future minimum lease obligations and the net present value of these minimum lease payments as of June 30, 2020, were as follows:

Year ending June 30, 2021	\$ 390,913
Total minimum lease payments	390,913
Less amount representing interest	(9,717)
Present value of minimum lease payments	<u>\$ 381,196</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 6. Long-Term Liabilities (Continued)

As of June 30, 2020, the District did not exceed its legal debt margin computed as follows:

Total assessed valuation	<u>\$ 10,773,522,141</u>
Debt limit, 5% of total assessed valuation	\$ 538,676,107
Amount of debt applicable to debt limitation, general obligation bonds and capital loan notes	<u>181,415,000</u>
Excess of debt limit over debt outstanding, legal debt margin	<u>\$ 357,261,107</u>

Note 7. Pension and Retirement Benefits

Plan description: IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by the Iowa Public Employees Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension benefits: A Regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is 65, any time after reaching age 62 with 20 or more years of covered employment or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service
- The member's highest five-year salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payment.

Disability and death benefits: A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Contributions: Contribution rates are established by IPERS following the annual actuarial valuation which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2020, pursuant to the required rate, Regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2020 totaled \$10,924,900.

Pension liabilities, pension expense, and deferred outflows of resources and deferred inflows of resources related to pensions: At June 30, 2020, the District reported a liability of \$86,029,745 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2019, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating governments, actuarially determined. At June 30, 2019, the District's proportion was 1.4758% an increase of 0.0346% from its proportion measured as of June 30, 2018. Net pension liability attributable to governmental activities are generally liquidated by the general fund and management fund.

For the year ended June 30, 2020, the District recognized pension expense of \$6,758,782. At June 30, 2020, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 238,498	\$ (3,093,182)
Changes of assumptions	9,215,016	-
Net difference between projected and actual earnings on pension plan investments	-	(9,694,518)
Changes in proportion and differences between District contributions and proportionate share of contributions	5,054,548	(42,626)
Total deferred amounts to be recognized in pension expense in future periods	14,508,062	(12,830,326)
District contributions subsequent to measurement date	10,924,900	-
Total	\$ 25,432,962	\$ (12,830,326)

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Deferred pension outflows totaling \$10,924,900 resulting from the District contributions subsequent to the measurement date, will be recognized as a reduction of the net pension liability in the year ended June 30, 2021. The deferred outflows and deferred inflows resulting from the difference between projected and actual earnings on pension plan investments will be recognized as a reduction of pension expense over five years. The deferred outflows resulting from differences between expected and actual experience, the deferred outflows resulting from changes of assumptions and the deferred outflows and deferred inflows resulting from changes in proportion and differences between District contributions and proportionate share of contributions will be recognized in pension expense using the average expected remaining service lives of all IPERS members. The average is determined by taking the calculated total future service years of the Plan divided by the number of the people in the Plan including retirees.

Deferred outflows of resources and deferred inflows of resources will be recognized in pension expense as follows:

Years ending June 30:

2021	\$ 3,504,865
2022	(602,803)
2023	(258,880)
2024	(965,955)
2025	509
	<u>\$ 1,677,736</u>

Actuarial assumptions: The total pension liability in the June 30, 2019 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.60% per annum
Rates of salary increases (effective June 30, 2017)	3.25% to 16.25%, average, including inflation. Rates vary by membership group.
Long-term effective investment rate of return (effective June 30, 2017)	7.00%, compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25%, per annum, based on 2.60% inflation and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2019 valuation were based on the results of an economic assumption study dated March 24, 2017 and a demographic assumption study dated June 28, 2018.

Mortality rates used in the 2019 valuation were based on the RP-2014 Employee and Healthy Annuitant Tables with MP-2017 generational adjustments.

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Core-plus fixed income	27.0%	1.71%
Domestic equity	22.0	5.60
International equity	15.0	6.08
Global smart beta equity	3.0	5.82
Private equity	11.0	10.13
Private real assets	7.5	4.76
Public real assets	7.0	2.81
Public credit	3.5	3.32
Private credit	3.0	3.01
Cash	1.0	(0.21)
	<u>100.0%</u>	

Discount rate: The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate: The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00%) or 1-percentage-point higher (8.00%) than the current rate:

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
District's proportionate share of the net pension liability	\$ 152,761,056	\$ 86,029,745	\$ 30,056,255

Iowa City Community School District

Notes to Basic Financial Statements

Note 7. Pension and Retirement Benefits (Continued)

Pension plan fiduciary net position: Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report; which can be located at www.ipers.org.

Payables to the pension plan: At June 30, 2020, the District reported payables to the defined benefit pension plan of \$1,500,000 for legally required employer contributions and legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 8. Risk Management

The Iowa City Community School District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees and natural disasters.

Workers' Compensation, Property, General Liability and Other Insurance: The District is a member of the Iowa Public School Insurance Program (IPSIP), a public entity risk pool formed in July of 2012 between certain Iowa school districts, created in accordance with Chapter 28E of the Code of Iowa. The purpose of IPSIP is to jointly provide or obtain casualty, property, employer liability, general liability, risk management, professional liability, group coverage and other protections so as to effectively manage and contain costs for insurance coverage and related administration. IPSIP has 20 members as of July 1, 2019. IPSIP is governed by an eleven-member board of directors elected by the members of IPSIP. The District has no direct control over budgeting, financing, the governing body or management selection.

IPSIP is not intended to function as an insurance company for the participants; rather, it is a means of combining the administration of claims and of obtaining lower insurance rates through the creation of a self-insurance pool and through the purchase of commercial insurance. The District's participation in IPSIP represents a risk-sharing pool as defined by GASB Statement No. 10 in which the District pools its risks and funds with other members and shares in the cost of losses. The District is required to make annual payments, which are determined by IPSIP, based upon its direct proportion to the pro rata share of insurance costs for coverage administered by IPSIP. IPSIP may require the participating Districts to make supplemental payments if the funds on hand are insufficient to pay expenses of the administration of IPSIP. The District was not required to make any supplemental payments to IPSIP in fiscal years 2020 or 2011. Payments to IPSIP by the District in order to maintain adequate insurance coverage in fiscal year 2020 was \$1,993,541.

Employee Health Insurance: During the year ended June 30, 2020, employees of the District were covered by the District's health and dental self-insurance plan. The contributions made by the District are part of the negotiated agreements with specific employee groups. Employees authorize payroll withholdings to pay contributions for dependents or increased coverage. Claims were paid by a third-party administrator acting on behalf of the District. The plans are authorized by Chapter 509A of the Code of Iowa.

The administrative contract between the District and the third-party administrator is renewable annually and administrative fees and stop loss premiums are included in the contractual provisions. In accordance with state statute, the District was protected against unanticipated catastrophic individual or aggregate loss by stop loss coverage from a private insurance company. Stop loss coverage was in effect for individual claims that exceeded \$250,000 and for an aggregate amount of 125% of expected claims.

Iowa City Community School District

Notes to Basic Financial Statements

Note 8. Risk Management (Continued)

All claim handling procedures are performed by an independent claims administrator. Liabilities are recognized when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Recognized liabilities include a provision for all estimated claims incurred but not reported. Changes in the medical claims liability amounts for the years ended June 30, 2020 and 2019 were as follows:

Self-Insurance Liability	Beginning	Claims and Changes in Estimates	Claims Payments	Ending
Health:				
2020	\$ 1,540,529	\$ 15,672,190	\$ 15,676,869	\$ 1,535,850
2019	2,432,473	11,551,972	12,443,916	1,540,529

Note 9. Area Education Agency

The District is required by the Code of Iowa to budget for its share of media, educational services and special education services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$6,529,748 for the year ended June 30, 2020. The District's actual constructive revenue and constructive expenses are included in the General Fund.

Note 10. Commitments

As of June 30, 2020, the District had outstanding construction commitments totaling approximately \$57,254,414, which will be paid with bond proceeds, property taxes and sales taxes.

Note 11. Nonvested Employee Benefits

District employees accumulate sick leave hours for subsequent use and can be carried over in limited amounts for use in future years. The contingent liability for this sick leave is approximately \$38,282,000 as of June 30, 2020. This liability does not vest and is not included as a liability in the statement of net position. This contingent liability has been computed based on rates of pay as of June 30, 2020.

Note 12. Contingencies

As of June 30, 2020, the District is involved in various claims and lawsuits against the District that arise in the normal course of operations, which are covered by insurance. The outcome and eventual liability of the District, if any, from these claims and any unasserted claims is not known at this time; however, management does not believe they will be material to the basic financial statements.

On January 30, 2020, the World Health Organization declared the coronavirus outbreak (COVID-19) a "Public Health Emergency of International Concern" and on March 11, 2020, declared it to be a pandemic. Actions taken around the world to help mitigate the spread of the coronavirus include restrictions on travel, and quarantines in certain areas, and forced closures for certain types of public places and businesses. The coronavirus and actions taken to mitigate the spread of it have had and are expected to continue to have an adverse impact on the economies and financial markets of many countries and their political subdivision. On March 27, 2020, the Coronavirus Aid, Relief, and Economic Security Act (CARES Act) was enacted to amongst other provisions, provide emergency assistance for individuals, families and businesses affected by the coronavirus pandemic.

Iowa City Community School District

Notes to Basic Financial Statements

Note 12. Contingencies (Continued)

It is unknown how long the adverse conditions associated with the coronavirus will last and what the complete financial effect will be to the District. The extent to which COVID-19 may affect the District's results will depend on future developments, which are highly uncertain and cannot be predicted, including new information, which may emerge concerning the severity of COVID-19 and actions taken to contain COVID-19 or its impact, among others.

Additionally, it is reasonably possible that estimates made in the financial statements have been, or will be, materially and adversely impacted in the near term as a result of these conditions.

In January 2021, the District was notified by the Iowa Department of Education of approximately \$12,200,000 in federal funding from the Coronavirus Response and Relief Supplemental Appropriations Act—Elementary and Secondary Emergency School Relief Fund.

Note 13. Jointly Governed Organization

The District is a member of a cooperative agreement with the City of Coralville, Iowa organized under 28E of the Code of Iowa to provide for the operation of a joint swimming pool facility. The mayor of the City of Coralville, Iowa is designated as the administrator of the agreement. Under the agreement, the District is responsible for 30% of the City's costs and expenses in operating and maintaining the facility payable monthly throughout the year. For the fiscal year 2020, monthly payments were approximately \$8,297 per month, which were paid from the Physical Plant and Equipment Levy Fund. The financial statements for the jointly governed organization can be found in the City of Coralville, Iowa Comprehensive Annual Financial Report. The report may be obtained by writing to the City of Coralville, Iowa, 1512 7th St., Coralville, Iowa 52241.

Note 14. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, a single health care plan provides OPEB for all active and retired employees and their eligible dependents. The plan is administered by the District and the District has the authority to establish or amend the plan provisions or contribution requirements. No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement 75. The plan does not issue a stand-alone financial report.

Benefits provided: As required under Iowa Code Chapter 509A-3, the District provides postemployment health benefits. Health benefits include medical, prescription drug and dental. The benefits are provided until the participant is Medicare eligible, are self-insured by the District and administered through First Administrators, Inc.

Contributions: All participants of the postemployment medical, dental and prescription drug plan are required to contribute an amount equal to the premium equivalent. Since the premium equivalent is developed from the claims experience of active employee and retiree lives, an implicit subsidy is provided to retirees and their spouses. The implicit subsidy results from a lower premium equivalent to what a retiree would otherwise pay had the claims experience been based just on retiree health claims. The full active/retire premiums as of July 1, 2020 are as follows:

Rate Tier	Medical	Dental
Retiree only	\$ 675	\$ 32
Retiree and family	1,400	97

Iowa City Community School District

Notes to Basic Financial Statements

Note 14. Other Postemployment Benefits (OPEB) (Continued)

Employees covered by benefit terms: At June 30, 2020, the following employees were covered by the benefit terms:

Inactive employees currently receiving benefits	128
Active employees	1,818
	<u>1,946</u>

Total OPEB Liability

The District's total OPEB liability of \$10,639,021 was measured as of June 30, 2020, and was determined by an actuarial valuation as of June 30, 2020. Total OPEB liability attributable to governmental activities are generally liquidated by the management fund.

Actuarial methods and assumptions:

The total OPEB liability in the June 30, 2020 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Salary increases	3.5%
Discount rate	2.21%
Health care cost trend rates	6.5% for 2020 decreasing by 0.50% per year to an ultimate rate of 4.5%
Mortality rates	PUB 2010 mortality table with generational scale MP-2019

The discount rate was based on the June 30, 2020 Bond Buyer 20-Bond GO Index.

Changes in the Total OPEB Liability

	Total OPEB Liability
Balance as of June 30, 2019	<u>\$ 10,581,580</u>
Changes for the year:	
Service cost	1,212,628
Interest	402,823
Differences between expected and actual experience	(956,972)
Changes in assumptions or other inputs	(31,100)
Contributions and payments made	<u>(569,938)</u>
Net changes	57,441
Balance as of June 30, 2020	<u><u>\$ 10,639,021</u></u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 14. Other Postemployment Benefits (OPEB) (Continued)

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's approximate total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (1.21%) or 1-percentage-point higher (3.21%) than the current discount rate:

	1% Decrease 1.21%	Discount Rate 2.21%	1% Increase 3.21%
Total OPEB liability	\$ 11,532,000	\$ 10,639,021	\$ 9,825,000

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower (5.5% decreasing to 3.5%) or 1-percentage-point higher (7.5% decreasing to 5.5%) than the current health care cost trend rates:

	(5.50% Decreasing to 3.50%)	Health Care Cost Trend Rates (6.50% Decreasing to 4.50%)	(7.50% Decreasing to 5.50%)
Total OPEB liability	\$ 9,418,000	\$ 10,639,021	\$ 12,109,000

OPEB Expense and deferred outflows of resources and deferred inflows of resources related to

OPEB: For the year ended June 30, 2020, the District recognized OPEB expense of \$1,000,025. At June 30, 2020, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following source:

	Deferred Outflow of Resources	Deferred Inflow of Resources
Differences between expected and actual experience	\$ -	\$ (905,196)
Changes of assumptions or other inputs	302,221	(220,811)
	<u>\$ 302,221</u>	<u>\$ (1,126,007)</u>

Amounts reported as the deferred inflows of resources related to OPEB will be recognized in OPEB expense over the average future service to retirement of plan participants as follows:

Years ending June 30:	
2021	\$ (45,487)
2022	(45,487)
2023	(45,487)
2024	(45,487)
2025	(45,487)
Thereafter	(596,351)
	<u>\$ (823,786)</u>

Iowa City Community School District

Notes to Basic Financial Statements

Note 15. Fund Balances

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, establishes criteria for classifying fund balances into specifically defined classifications. The details for the District's fund balances are as follows:

Fund Balances:	General	Physical Plant and Equipment Levy	Capital Projects	Debt Service	General Obligation Bonds	Nonmajor Governmental	Total
Nonspendable, prepaids	\$ 1,552,575	\$ 84,369	\$ 12,778	\$ -	\$ 338	\$ -	\$ 1,650,060
Restricted:							
Categorical funding:							
Gifted and talented program	26,110	-	-	-	-	-	26,110
Home school assistance program	524,974	-	-	-	-	-	524,974
Supplemental weighting	83,264	-	-	-	-	-	83,264
Drop out prevention	21,902	-	-	-	-	-	21,902
State preschool	25,058	-	-	-	-	-	25,058
Beginning Teacher	17,085	-	-	-	-	-	17,085
Teacher salary supplement	17,147	-	-	-	-	-	17,147
Teacher quality market factor	45,000	-	-	-	-	-	45,000
State class size reduction	126	-	-	-	-	-	126
Rec Ed programs	14,140	-	-	-	-	-	14,140
State mentoring	15,976	-	-	-	-	-	15,976
Early Literacy	13,338	-	-	-	-	-	13,338
Teacher quality-core curriculum	1,367,498	-	-	-	-	-	1,367,498
Teacher leadership program	629,013	-	-	-	-	-	629,013
Teacher quality	6,245	-	-	-	-	-	6,245
Teacher quality market factor 2008	4,450	-	-	-	-	-	4,450
Debt service	-	-	4,116,562	204,652	-	-	4,321,214
Management levy purposes	-	-	-	-	-	2,167,298	2,167,298
Student activities	-	-	-	-	-	259,759	259,759
Capital improvements and equipment	-	724,878	-	-	63,838,009	-	64,562,887
Total restricted	2,811,326	724,878	4,116,562	204,652	63,838,009	2,427,057	74,122,484
Unassigned	6,876,239	-	-	-	-	-	6,876,239
Total fund balances	\$ 11,240,140	\$ 809,247	\$ 4,129,340	\$ 204,652	\$ 63,838,347	\$ 2,427,057	\$ 82,648,783

Note 16. Tax Abatements

GASB Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are otherwise entitled and (b) the individual or entity promises to take a specific action, after the agreement that has been entered into, that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2020 under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Coralville	Urban renewal and economic development	\$ 639,117
City of North Liberty	Urban renewal and economic development	179,163
City of Iowa City	Urban renewal and economic development	539,473
City of University Heights	Urban renewal and economic development	227,802
		<u>\$ 1,585,555</u>

The state of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2020, this reimbursement amounted to \$654,160.

Iowa City Community School District

Notes to Basic Financial Statements

Note 17. Pending Governmental Accounting Standards Board (GASB) Statements

GASB Statement No. 95, *Postponement of the Effective Dates of Certain Authoritative Guidance*, issued in May 2020, will be effective immediately for the District. The objective of Statement No. 95 is to provide temporary relief to governments and other stakeholders in light of the COVID-19 pandemic by delaying the effective dates of pronouncements not yet adopted by 12-18 months. The following pronouncements have been updated to reflect the new effective dates.

The GASB has issued several statements not yet implemented by the District. The statements which may impact the District are as follows:

- GASB Statement No. 84, *Fiduciary Activities*, issued February 2017, will be effective for the District beginning with its fiscal year ending June 30, 2021. The objective of Statement No. 84 is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported. This Statement establishes criteria for identifying fiduciary activities of all state and local governments. The focus of the criteria generally is on (1) whether a government is controlling the assets of the fiduciary activity and (2) the beneficiaries with whom a fiduciary relationship exists. An activity meeting the criteria should be reported in a fiduciary fund in the basic financial statements. Governments with activities meeting the criteria should present a statement of fiduciary net position and a statement of changes in fiduciary net position. An exception to that requirement is provided for a business-type activity that normally expects to hold custodial assets for three months or less. This Statement describes four fiduciary funds that should be reported, if applicable: (1) pension (and other employee benefit) trust funds, (2) investment trust funds, (3) private-purpose trust funds and (4) custodial funds. Custodial funds generally should report fiduciary activities that are not held in a trust or equivalent arrangement that meets specific criteria. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities. This Statement also provides for recognition of a liability to the beneficiaries in a fiduciary fund when an event has occurred that compels the government to disburse fiduciary resources. Events that compel a government to disburse fiduciary resources occur when a demand for the resources has been made or when no further action, approval or condition is required to be taken or met by the beneficiary to release the assets.
- GASB Statement No. 87, *Leases*, issued June 2017, will be effective for the District beginning with its fiscal year ending June 30, 2022, with earlier adoption encouraged. Statement No. 87 establishes a single approach to accounting for and reporting leases by state and local governments. Under this statement, a government entity that is a lessee must recognize (1) a lease liability and (2) an intangible asset representing the lessee's right to use the leased asset. In addition, the County must report the (1) amortization expense for using the lease asset over the shorter of the term of the lease or the useful life of the underlying asset, (2) interest expense on the lease liability and (3) note disclosures about the lease. The Statement provides exceptions from the single-approach for short-term leases, financial purchases, leases of assets that are investments and certain regulated leases. This statement also addresses accounting for lease terminations and modifications, sale-leaseback transactions, non-lease components embedded in lease contracts (such as service agreements), and leases with related parties.

Iowa City Community School District

Notes to Basic Financial Statements

Note 17. Pending Governmental Accounting Standards Board (GASB) Statements (Continued)

- GASB Statement No. 91, *Conduit Debt Obligations*, will be effective for reporting periods beginning after December 15, 2021. The primary objectives of this Statement are to provide a single method of reporting conduit debt obligations by issuers and eliminate diversity in practice associated with (1) commitments extended by issuers, (2) arrangements associated with conduit debt obligations, and (3) related note disclosures. This Statement achieves those objectives by clarifying the existing definition of a conduit debt obligation; establishing that a conduit debt obligation is not a liability of the issuer; establishing standards for accounting and financial reporting of additional commitments and voluntary commitments extended by issuers and arrangements associated with conduit debt obligations; and improving required note disclosures.
- GASB Statement No. 92, *Omnibus 2020*, issued in January 2020, will be effective for the District fiscal years beginning after June 15, 2021. The objective of Statement No. 92 is to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing practice issues that have been identified during implementation and application of certain GASB statements. This Statement addresses a variety of topics including issues related to leases, postemployment benefits (pensions and other postemployment benefits), fiduciary activities, asset retirement obligations and fair value measurement and application.
- GASB No. 93, *Replacement of Interbank Offered Rates* establishes how the District will report the change of any of its variable payment debt that are tied to the London Interbank Offered Rate (LIBOR) when the LIBOR standard is no longer used after December 31, 2021. This statement will be effective for the District with its year ending June 30, 2022 except for provision relating to the removal of the LIBOR rate, which will be effective for the fiscal year ending June 30, 2023.
- GASB Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements* will improve financial reporting by addressing issues related to public-private and public-public partnerships and provides guidance for accounting and reporting for availability payment arrangements. This statement will be effective for the District with its year ending June 30, 2023.
- GASB Statement No. 96, *Subscription-Based Information Technology Arrangements* provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for government end users. This statement (1) defines a SBITA; (2) establishes that a SBITA results in a right-to-use subscription asset—an intangible asset—and a corresponding subscription liability; (3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and (4) requires note disclosure regarding a SBITA. This statement will be effective for the District with its year ending June 30, 2023.
- GASB Statement No. 97, *Certain Component Unit Criteria, and Accounting and Financial Reporting for Internal Revenue Code Section 457 Deferred Compensation Plans* will result in more consistent financial reporting of defined contribution pension plans, defined contribution OPEB plans, and other employee benefit plans. This statement will also enhance the relevance, consistency and comparability of (1) the information related to Section 457 plans that meet the definition of a pension plan and the benefits provided through those plans and (2) investment information for all Section 457 plans. Another objective of this statement is to increase consistency and comparability related to the reporting of fiduciary component units in circumstances in which a potential component unit does not have a governing board and the primary government performs the duties that a governing board typically would perform. This statement will be effective for the District with its year ending June 30, 2023.

The District's management has not yet determined the effect of Statement Nos. 84, 87, 91, 92, 93, 94, 96 and 97 will have on the District's financial statements, but may have a material effect on the financial statements.

Iowa City Community School District

**Required Supplementary Information
Schedule of the District's Proportionate Share of the Net Pension Liability
Iowa Public Employees' Retirement System**

	June 30,	
	2020	2019
Measurement date	June 30, 2019	June 30, 2018
District's proportion of the net pension liability	1.4757510%	1.4412107%
District's proportionate share of the net pension liability	\$ 86,029,745	\$ 91,203,343
District's covered payroll	114,566,896	109,010,291
District's proportionate share of the net pension liability as a percentage of its covered payroll	75.09%	83.66%
Plan fiduciary net position as a percentage of the total pension liability	84.38%	83.62%

Note: GASB Statement No. 68 requires 10 years of information to be presented in this table. However, until a full 10-year trend is compiled, the District will present for those years which information is available.

June 30,			
2018	2017	2016	2015
June 30, 2017	June 30, 2016	June 30, 2015	June 30, 2014
1.3711820%	1.3309690%	1.3168825%	1.3572122%
\$ 90,521,204	\$ 83,762,076	\$ 65,060,367	\$ 53,825,764
101,421,937	95,494,737	90,210,145	88,810,145
89.25%	87.71%	72.12%	60.61%
82.21%	81.82%	85.19%	87.61%

Iowa City Community School District

**Required Supplementary Information
Schedule of District Contributions
Iowa Public Employees' Retirement System**

Fiscal year ended June 30,	Statutorily required contribution	Contributions in relation to the statutorily required contribution	Contributions deficiency (excess)	District's covered payroll	Contributions as a percentage of covered payroll
2020	\$ 10,924,900	\$ 10,924,900	\$ -	\$ 115,729,873	9.44%
2019	10,815,115	10,815,115	-	114,566,896	9.44
2018	9,734,619	9,734,619	-	109,010,291	8.93
2017	9,056,979	9,056,979	-	101,421,937	8.93
2016	8,527,680	8,527,680	-	95,494,737	8.93
2015	8,055,766	8,055,766	-	90,210,145	8.93
2014	7,930,746	7,930,746	-	88,810,145	8.93
2013	7,093,021	7,093,021	-	N/A	N/A
2012	6,149,781	6,149,781	-	N/A	N/A
2011	5,160,450	5,160,450	-	N/A	N/A

N/A - Information was not available.

Iowa City Community School District

Notes to Required Supplementary Information—Pension Liability Iowa Public Employee's Retirement System

Changes of benefit terms: There are no significant changes in benefit terms.

Changes of assumptions: The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

The 2014 valuation implemented the following refinements as a result of a quadrennial experience study:

- Decreased the inflation assumption from 3.25% to 3.00%.
- Decreased the assumed rate of interest on member accounts from 4.00% to 3.75% per year.
- Adjusted male mortality rates for retirees in the Regular membership group.
- Moved from an open 30-year amortization period to a closed 30-year amortization period for the UAL (unfunded actuarial liability) beginning June 30, 2014. Each year thereafter, changes in the UAL from plan experience will be amortized on a separate closed 20-year period.

The 2010 valuation implemented the following refinements as a result of a quadrennial experience study:

- Adjusted retiree mortality assumptions.
- Modified retirement rates to reflect fewer retirements.
- Lowered disability rates at most ages.
- Lowered employment termination rates.
- Generally increased the probability of terminating members receiving a deferred retirement benefit.
- Modified salary increase assumptions based on various service duration.

Iowa City Community School District

Required Supplementary Information

Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Last 10 Fiscal Years

	2020	2019	2018
Total OPEB liability			
Service cost	\$ 1,212,628	\$ 1,107,946	\$ 1,066,666
Interest	402,823	387,356	352,150
Changes of assumptions or other inputs	(988,093)	354,106	(245,309)
Benefit payments	(569,938)	(338,147)	(272,000)
Net change in total OPEB liability	57,420	1,511,261	901,507
Total OPEB liability—beginning	10,581,580	9,070,319	8,168,812
Total OPEB liability—ending	\$ 10,639,000	\$ 10,581,580	\$ 9,070,319
Covered—employee payroll	\$ 101,388,150	\$ 113,399,974	\$ 106,067,467
Total OPEB liability as a percentage of covered-employee payroll	10%	9%	9%

Changes of benefit terms: There were no significant changes in benefit terms.

Changes of assumptions: Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period:

2017	3.58%
2018	3.87
2019	3.50
2020	2.21

Note: This schedule is presented to illustrate the requirement to show information for 10 years. However, until a full 10-year trend is compiled, governments should present information for those years for which information is available.

Iowa City Community School District

Required Supplementary Information
Budgetary Comparison Schedule
All Governmental Funds and Enterprise Fund
Year Ended June 30, 2020

	Governmental Fund Types Actual	Enterprise Fund Type Actual	Total Actual
Revenues:			
Local sources	\$ 110,326,755	\$ 2,206,863	\$ 112,533,618
State sources	101,292,798	49,667	101,342,465
Federal sources	6,786,477	4,367,135	11,153,612
Total revenues	218,406,030	6,623,665	225,029,695
Expenditures:			
Instruction	123,917,779	-	123,917,779
Support services	62,806,861	-	62,806,861
Noninstructional programs	590,548	6,706,714	7,297,262
Other expenditures	103,753,604	-	103,753,604
Total expenditures	291,068,792	6,706,714	297,775,506
Excess of revenues over (under) expenditures/expenses	(72,662,762)	(83,049)	(72,745,811)
Other financing sources, net	71,401,665	-	71,401,665
Net change in fund balances/net position	(1,261,097)	(83,049)	(1,344,146)
Fund balances/net position, beginning of year	83,909,880	1,148,724	85,058,604
Fund balances/net position, end of year	<u>\$ 82,648,783</u>	<u>\$ 1,065,675</u>	<u>\$ 83,714,458</u>

See note to required supplementary information.

Budgeted Amounts		Final to Actual Variance- Over (Under)
Original	Final	
\$ 113,375,590	\$ 113,375,590	\$ (841,972)
101,682,254	101,682,254	(339,789)
10,957,000	10,957,000	196,612
226,014,844	226,014,844	(985,149)
120,245,022	123,362,433	555,346
53,244,293	58,383,245	4,423,616
7,699,745	8,334,874	(1,037,612)
104,537,596	151,506,214	(47,752,610)
285,726,656	341,586,766	(43,811,260)
(59,711,812)	(115,571,922)	42,826,111
-	-	71,401,665
\$ (59,711,812)	\$ (115,571,922)	\$ 114,227,776

Iowa City Community School District

Note to Required Supplementary Information—Budgetary Reporting

The Board of Education annually adopts and certifies a budget by program which includes all funds except for internal service funds, agency funds and private-purpose trust funds on the GAAP basis following required public notice and hearing in accordance with the Code of Iowa. The budget may be amended during the year utilizing similar statutorily prescribed procedures. Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functional areas, not by fund. These four functional areas are instruction, support services, noninstructional programs and other expenditures. The legal level of control is at the aggregated functional level, not at the fund or fund type level. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula (spending authority).

During the year ended June 30, 2020, the District adopted one budget amendment which increased the budgeted expenditures by \$55,860,110.

Iowa City Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2020

	Special Revenue		Total Nonmajor Governmental Funds
	Management	Student Activity	
Assets			
Cash, cash equivalents, and investments	\$ 2,115,791	\$ 324,561	\$ 2,440,352
Receivables:			
Property tax:			
Current year	50,840	-	50,840
Succeeding year	3,749,981	-	3,749,981
Other	-	27,498	27,498
Due from other funds	810	53,684	54,494
Total assets	\$ 5,917,422	\$ 405,743	\$ 6,323,165
Liabilities, Deferred Inflows of Resources and Fund Balances			
Liabilities:			
Accounts payable	\$ 143	\$ 145,984	\$ 146,127
Total liabilities	143	145,984	146,127
Deferred inflows of resources, unavailable revenue—property tax	3,749,981	-	3,749,981
Fund balances, restricted	2,167,298	259,759	2,427,057
Total liabilities, deferred inflows of resources and fund balances	\$ 5,917,422	\$ 405,743	\$ 6,323,165

Iowa City Community School District

**Combining Statement of Revenues, Expenditures and Changes in
Fund Balances
Nonmajor Governmental Funds
Year Ended June 30, 2020**

	Special Revenue		Total Nonmajor Governmental Funds
	Management	Student Activity	
Revenues:			
Local sources:			
Local tax	\$ 7,864,911	\$ -	\$ 7,864,911
Other	-	2,673,047	2,673,047
Interest	-	9,717	9,717
State sources	190,898	-	190,898
Total revenues	8,055,809	2,682,764	10,738,573
Expenditures:			
Current:			
Instruction:			
Regular	5,850,488	-	5,850,488
Other instruction	-	2,579,505	2,579,505
Support services:			
Administration services	871,873	-	871,873
Operations and maintenance	2,462,488	960	2,463,448
Transportation services	-	400,199	400,199
Total expenditures	9,184,849	2,980,664	12,165,513
Excess (deficiency) of revenues over expenditures	(1,129,040)	(297,900)	(1,426,940)
Other financing sources, transfers in	-	300,000	300,000
Net change in fund balances	(1,129,040)	2,100	(1,126,940)
Fund balances, beginning of year	3,296,338	257,659	3,553,997
Fund balances, end of year	\$ 2,167,298	\$ 259,759	\$ 2,427,057

Iowa City Community School District

**Statement of Changes in Fiduciary
Assets and Liabilities—Agency Funds
Year Ended June 30, 2020**

	Balance June 30, 2019	Additions	Deductions	Balance June 30, 2020
Flexible Benefits Account				
Assets,				
cash and cash equivalents	\$ 425,952	\$ 1,277,167	\$ 1,253,876	\$ 449,243
Liabilities,				
due to private individuals	\$ 425,952	\$ 1,277,167	\$ 1,253,876	\$ 449,243
School Children's Aid				
Assets				
Cash and cash equivalents	\$ 13,600	\$ 21,308	\$ 12,414	\$ 22,494
Due from primary government	34	-	34	-
	\$ 13,634	\$ 21,308	\$ 12,448	\$ 22,494
Liabilities,				
due to private individuals	\$ 13,634	\$ 21,308	\$ 12,448	\$ 22,494
Opportunity Funds				
Assets,				
cash and cash equivalents	\$ 2,188	\$ -	\$ -	\$ 2,188
Liabilities,				
due to private individuals	\$ 2,188	\$ -	\$ -	\$ 2,188
School Based Health Clinics				
Assets				
Cash and cash equivalents	\$ 43,855	\$ 172,613	\$ 153,847	\$ 62,621
Due from primary government	1,137	2,021	-	3,158
Prepaid expenses	-	675	-	675
	\$ 44,992	\$ 175,309	\$ 153,847	\$ 66,454
Liabilities,				
due to private individuals	\$ 44,992	\$ 175,309	\$ 153,847	\$ 66,454
Total Agency Funds				
Assets,				
Cash and cash equivalents	\$ 485,595	\$ 1,471,088	\$ 1,420,137	\$ 536,546
Due from primary government	1,171	2,021	34	3,158
Prepaid expenses	-	675	-	675
	\$ 486,766	\$ 1,473,784	\$ 1,420,171	\$ 540,379
Liabilities,				
due to private individuals	\$ 486,766	\$ 1,473,784	\$ 1,420,171	\$ 540,379

Iowa City Community School District

Statistical Section Contents

The statistical section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures and required supplementary information say about the District's overall financial health.

Contents	Page
Financial Trends	
These schedules contain trend information to help the reader understand how the District's financial performance and well being have changed over time.	73-87
Revenue Capacity	
These schedules contain information to help the reader assess the District's most significant local revenue sources, the property tax (or sales tax).	88-91
Debt Capacity	
These schedules present information to help the reader assess the affordability of the District's current level of outstanding debt and the District's ability to issue additional debt in the future.	92-95
Demographic and Economic Information	
These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.	96-97
Operating Information	
These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs.	98-107

Sources: Unless otherwise noted, the information in these schedules is derived from the comprehensive annual report for the relevant year.

Iowa City Community School District

Net Position by Component

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
Governmental activities:				
Net investment in capital assets	\$ 103,461,937	\$ 118,552,457	\$ 127,010,427	\$ 144,275,207
Restricted	34,107,364	38,265,060	38,547,315	34,835,478
Unrestricted	20,434,179	26,988,542	28,366,297	21,012,594
Total governmental activities net position	\$ 158,003,480	\$ 183,806,059	\$ 193,924,039	\$ 200,123,279
Business-type activities:				
Net investment in capital assets	\$ 434,533	\$ 372,306	\$ 577,047	\$ 528,075
Unassigned	3,102,508	3,340,591	3,227,351	2,983,964
Total business-type activities net position	\$ 3,537,041	\$ 3,712,897	\$ 3,804,398	\$ 3,512,039
Primary government:				
Net investment in capital assets	\$ 103,896,470	\$ 118,924,763	\$ 127,587,474	\$ 144,803,282
Restricted	34,107,364	38,265,060	38,547,315	34,835,478
Unrestricted	23,536,687	30,329,133	31,593,648	23,996,558
Total primary government net position	\$ 161,540,521	\$ 187,518,956	\$ 197,728,437	\$ 203,635,318

(1) Unrestricted net position declined significantly in fiscal year 2015 for both governmental and business-type activities due to the impact of GASB 68 compliance and a resulting impact of a new net pension liability of \$53,825,764 shared between governmental and business-type activities at \$52,732,793 and business-type activities at \$1,092,971.

(2) Unrestricted net position in fiscal year 2018 declined significantly for governmental activities due to the impact of GASB 75 compliance and a resulting impact of a new other postemployment benefit liability of \$9,070,319. Unrestricted net position also declined due to purchases of capital assets and issuance of debt in accordance with the District's master Plan.

Fiscal Year					
2015	2016	2017	2018	2019	2020
\$ 176,170,719	\$ 203,709,702	\$ 216,162,177	\$ 232,565,407	\$ 257,625,723	\$ 269,334,048
18,444,336	36,650,711	14,880,016	3,457,317	6,960,886	8,290,684
(33,554,068)	(60,864,399)	(32,992,743)	(40,392,948)	(59,302,159)	(65,850,793)
\$ 161,060,987	\$ 179,496,014	\$ 198,049,450	\$ 195,629,776	\$ 205,284,450	\$ 211,773,939
\$ 518,311	\$ 528,403	\$ 513,229	\$ 543,571	\$ 514,491	\$ 452,368
1,418,780	1,081,678	1,417,772	1,494,227	1,823,380	1,762,029
\$ 1,937,091	\$ 1,610,081	\$ 1,931,001	\$ 2,037,798	\$ 2,337,871	\$ 2,214,397
\$ 176,689,030	\$ 204,238,105	\$ 216,675,406	\$ 233,108,978	\$ 258,140,214	\$ 269,786,416
18,444,336	36,650,711	14,880,016	3,457,317	6,960,886	8,290,684
(32,135,288)	(59,782,721)	(31,574,971)	(38,898,721)	(57,478,779)	(64,088,764)
\$ 162,998,078	\$ 181,106,095	\$ 199,980,451	\$ 197,667,574	\$ 207,622,321	\$ 213,988,336

Iowa City Community School District

Expenses, Program Revenues and Net (Expense) Revenue Last Ten Fiscal Years (accrual basis of accounting) (Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
Expenses:				
Governmental activities:				
Instruction	\$ 88,288,063	\$ 91,391,355	\$ 100,951,730	\$ 104,733,457
Support services:				
Student services	3,833,693	4,612,635	4,942,088	4,686,664
Instructional services	6,017,524	6,708,676	6,962,932	7,427,014
Administration services	9,113,670	10,421,294	11,401,516	12,506,153
Operation and maintenance of plant	12,285,578	13,348,760	14,845,156	15,423,524
Pupil transportation services	4,791,918	5,489,138	5,396,481	5,726,049
Other, primarily AEA flowthrough	4,973,519	4,616,969	4,889,195	5,224,132
Noninstructional programs	6,026	93,018	466,024	563,138
Interest on long-term debt	882,375	857,422	390,685	200,128
Total governmental activities expenses	130,192,366	137,539,267	150,245,807	156,490,259
Business-type activities, nutrition	4,158,824	4,432,821	4,821,834	5,491,953
Total primary government expenses	\$ 134,351,190	\$ 141,972,088	\$ 155,067,641	\$ 161,982,212
Program revenues:				
Governmental activities:				
Charges for services:				
Instruction	\$ 3,703,065	\$ 3,213,735	\$ 1,891,858	\$ 2,071,749
Support services	122,442	107,478	176,884	205,142
Operating grants and contributions	23,180,191	21,043,495	20,880,498	20,109,977
Capital grants and contributions	-	-	1,889,776	207,457
Total governmental activities program revenue	27,005,698	24,364,708	24,839,016	22,594,325
Business-type activities:				
Charges for services, nutrition	2,175,411	2,244,238	2,245,333	2,260,342
Operating grants and contributions	2,262,074	2,358,944	2,662,433	2,929,125
Total business-type program revenues	4,437,485	4,603,182	4,907,766	5,189,467
Total primary government program revenues	\$ 31,443,183	\$ 28,967,890	\$ 29,746,782	\$ 27,783,792
Net (expense) revenue:				
Governmental activities	\$ (103,186,668)	\$ (113,174,559)	\$ (125,406,791)	\$ (133,895,934)
Business-type activities	278,661	170,361	85,942	(302,486)
Total primary government net expense	\$ (102,908,007)	\$ (113,004,198)	\$ (125,320,849)	\$ (134,198,420)

Fiscal Year					
2015	2016	2017	2018	2019	2020
\$ 100,335,876	\$ 107,177,328	\$ 113,110,337	\$ 127,747,232	\$ 132,870,361	\$ 136,961,064
4,499,186	4,835,646	4,557,940	5,933,064	6,407,546	5,181,419
6,446,914	9,576,097	10,152,792	11,199,206	11,538,206	11,124,732
12,221,714	13,741,415	15,461,765	17,946,142	17,815,225	18,150,702
14,800,540	15,242,048	16,342,729	18,877,434	19,415,295	20,185,313
5,565,497	4,593,145	4,602,541	5,000,963	5,056,479	4,949,353
5,585,294	5,689,143	5,941,833	6,197,252	6,599,916	6,943,996
605,079	368,506	677,754	745,049	651,022	615,064
229,081	1,925,504	2,139,432	3,831,530	5,200,637	8,116,117
150,289,181	163,148,832	172,987,123	197,477,872	205,554,687	212,227,760
5,822,005	6,189,701	6,036,498	6,481,988	6,575,441	6,747,139
\$ 156,111,186	\$ 169,338,533	\$ 179,023,621	\$ 203,959,860	\$ 212,130,128	\$ 218,974,899
\$ 1,360,834	\$ 1,013,403	\$ 1,658,135	\$ 1,820,632	\$ 2,045,298	\$ 2,140,253
210,215	250,620	306,451	337,003	346,680	362,463
24,461,796	28,901,876	25,806,402	26,877,570	27,383,727	26,865,019
939,553	641,945	191,741	904,490	145,597	206,540
26,972,398	30,807,844	27,962,729	29,939,695	29,921,302	29,574,275
2,320,574	2,357,084	2,626,442	2,659,506	2,819,280	2,174,897
3,212,336	3,498,804	3,722,874	3,912,283	4,021,884	4,416,802
5,532,910	5,855,888	6,349,316	6,571,789	6,841,164	6,591,699
\$ 32,505,308	\$ 36,663,732	\$ 34,312,045	\$ 36,511,484	\$ 36,762,466	\$ 36,165,974
\$ (129,078,091)	\$ (132,340,988)	\$ (145,024,394)	\$ (167,538,177)	\$ (175,633,385)	\$ (182,653,485)
(289,094)	(333,813)	312,818	89,801	265,723	(155,440)
\$ (129,367,185)	\$ (132,674,801)	\$ (144,711,576)	\$ (167,448,376)	\$ (175,367,662)	\$ (182,808,925)

Iowa City Community School District

General Revenues and Total Change in Net Position

Last Ten Fiscal Years

(accrual basis of accounting)

(Unaudited)

	Fiscal Year		
	2011	2012	2013
Net (expense) revenue:			
Governmental activities	\$ (103,186,668)	\$ (113,174,559)	\$ (125,406,791)
Business-type activities	278,661	170,361	85,942
Total primary government net expense	(102,908,007)	(113,004,198)	(125,320,849)
General revenues and other changes in net position:			
Governmental activities:			
Taxes:			
Property taxes levied for general purposes	57,971,131	59,722,769	60,395,065
Property taxes levied for capital projects	7,769,270	8,026,572	8,389,497
Property taxes levied debt service	3,382,231	3,599,933	3,502,939
Sales taxes provided for capital projects	13,643,664	13,833,210	10,813,815
Unrestricted grants and contributions	40,987,077	45,509,708	48,024,527
Investment earnings	197,048	268,335	253,529
Gain on sale of capital assets	-	4,384,550	-
Other	3,685,961	3,632,061	4,145,399
Total governmental activities	127,636,382	138,977,138	135,524,771
Business-type activities, investment earnings	7,228	5,495	5,559
Total primary government	127,643,610	138,982,633	135,530,330
Change in net position:			
Governmental activities	24,449,714	25,802,579	10,117,980
Business-type activities	285,889	175,856	91,501
Total primary government	\$ 24,735,603	\$ 25,978,435	\$ 10,209,481

Fiscal Year						
2014	2015	2016	2017	2018	2019	2020
\$ (133,895,934)	\$ (123,316,783)	\$ (132,340,988)	\$ (145,024,394)	\$ (167,538,177)	\$ (175,633,385)	\$ (182,653,485)
(302,486)	(289,094)	(333,813)	312,818	89,801	265,723	(155,440)
(134,198,420)	(123,605,877)	(132,674,801)	(144,711,576)	(167,448,376)	(175,367,662)	(182,808,925)
61,055,235	63,617,123	66,430,760	71,261,883	74,276,771	76,056,596	80,866,263
8,705,266	9,151,358	9,287,340	9,999,172	10,428,235	10,939,315	11,202,835
3,310,092	3,278,652	3,259,578	3,294,159	3,301,317	12,808,824	9,718,090
11,125,642	12,515,712	12,815,660	13,096,050	13,165,538	14,300,041	14,810,601
52,004,652	56,396,516	57,802,551	64,814,688	65,993,465	67,212,823	69,240,057
216,168	233,928	465,432	461,313	1,379,124	2,782,746	2,062,291
4,571	-	-	-	-	-	-
3,673,548	1,462,366	714,694	850,565	1,621,865	1,187,714	1,242,837
140,095,174	146,655,655	150,776,015	163,777,830	170,166,315	185,288,059	189,142,974
10,127	7,509	6,803	8,102	16,996	34,350	31,966
140,105,301	146,663,164	150,782,818	163,785,932	170,183,311	185,322,409	189,174,940
6,199,240	23,338,872	18,235,027	18,753,436	2,628,138	9,654,674	6,489,489
(292,359)	(281,585)	(327,010)	320,920	106,797	300,073	(123,474)
\$ 5,906,881	\$ 23,057,287	\$ 17,908,017	\$ 19,074,356	\$ 2,734,935	\$ 9,954,747	\$ 6,366,015

Iowa City Community School District

**Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)**

	Fiscal Year		
	2011	2012	2013
General Fund:			
Nonspendable	\$ 771,671	\$ 876,455	\$ 996,786
Restricted	3,516,243	3,621,399	3,642,566
Assigned	502,365	609,563	669,699
Unassigned	9,292,774	15,382,598	13,271,679
Total General Fund	\$ 14,083,053	\$ 20,490,015	\$ 18,580,730
All other governmental funds:			
Nonspendable	\$ -	\$ 50,372	\$ -
Restricted	30,174,302	34,446,676	34,939,533
Total all other governmental funds	\$ 30,174,302	\$ 34,497,048	\$ 34,939,533

GASB Statement No. 54, *Fund Balance Reporting and Governmental Fund Type Definitions*, implemented in fiscal year 2011.

Fiscal Year						
2014	2015	2016	2017	2018	2019	2020
\$ 1,174,203	\$ 1,095,801	\$ 1,127,628	\$ 1,251,954	\$ 1,395,556	\$ 1,472,184	\$ 1,552,575
3,575,202	3,303,867	3,963,463	4,030,600	2,478,299	2,157,358	2,811,326
877,237	-	-	-	-	-	-
8,112,212	11,544,614	15,339,260	18,550,551	17,237,568	11,270,502	6,876,239
\$ 13,738,854	\$ 15,944,282	\$ 20,430,351	\$ 23,833,105	\$ 21,111,423	\$ 14,900,044	\$ 11,240,140
\$ -	\$ 1,540	\$ 1,310	\$ 267,973	\$ 137,692	\$ 94,879	\$ 97,485
31,288,237	16,413,698	34,191,190	12,713,261	64,583,510	68,914,957	71,311,158
\$ 31,288,237	\$ 16,415,238	\$ 34,192,500	\$ 12,981,234	\$ 64,721,202	\$ 69,009,836	\$ 71,408,643

Iowa City Community School District

Governmental Funds Revenues
Last Ten Fiscal Years
(modified accrual basis of accounting)
(Unaudited)

	Fiscal Year		
	2011	2012	2013
Federal sources, federal grants	\$ 8,222,274	\$ 8,321,085	\$ 7,463,516
State sources, state grants and other	53,955,043	58,148,506	61,319,723
Local sources:			
Ad valorem taxes	83,201,298	85,292,389	82,777,217
Interest and other income	42,246	191,372	161,781
Other revenues	9,251,854	6,712,504	8,767,902
Total local sources	92,495,398	92,196,265	91,706,900
Total revenues	\$ 154,672,715	\$ 158,665,856	\$ 160,490,139

Fiscal Year						
2014	2015	2016	2017	2018	2019	2020
\$ 5,861,754	\$ 6,379,586	\$ 6,580,460	\$ 6,678,886	\$ 7,321,701	\$ 7,376,387	\$ 6,786,477
77,184,727	83,805,768	90,008,338	93,878,875	95,391,484	98,667,550	101,292,798
72,945,024	76,047,134	78,977,678	84,555,214	88,006,322	99,804,738	101,787,195
125,569	124,419	407,023	363,541	1,215,219	2,436,360	1,751,812
7,022,831	7,812,866	6,153,188	6,111,910	7,512,810	6,823,601	6,787,748
80,093,424	83,984,419	85,537,889	91,030,665	96,734,351	109,064,699	110,326,755
\$ 163,139,905	\$ 174,169,773	\$ 182,126,687	\$ 191,588,426	\$ 199,447,536	\$ 215,108,636	\$ 218,406,030

Iowa City Community School District

Governmental Funds Expenditures and Debt Service Ratio

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
Instruction	\$ 85,334,071	\$ 85,181,022	\$ 93,842,840	\$ 96,348,768
Pupil personnel services	3,853,422	4,609,186	4,854,053	4,464,944
Instruction and curriculum development services	6,119,871	6,585,642	7,040,962	7,409,098
School administration	9,474,078	10,180,266	11,052,695	11,578,554
Plant operation and maintenance	10,877,956	11,207,615	12,219,182	13,580,269
Pupil transportation services	4,791,918	5,489,138	5,396,481	5,726,049
AEA flowthrough	4,940,696	4,587,779	4,861,844	5,193,678
Community services	34,444	27,462	531,573	542,712
Noncapital facilities acquisition/construction	2,158,361	4,542,517	8,785,850	4,401,635
Capital outlay, facilities acquisition/construction	11,619,445	16,458,827	9,877,428	19,092,591
Debt service:				
Principal	2,655,000	7,405,000	2,825,000	2,885,000
Interest	910,978	823,708	669,031	417,400
Bond issuance costs	-	83,266	-	-
Total expenditures	\$ 142,770,240	\$ 157,181,428	\$ 161,956,939	\$ 171,640,698
Debt service as a percentage of noncapital expenditures	2.72%	5.85%	2.30%	2.28%

Fiscal Year						
2015	2016	2017	2018	2019	2020	
\$ 100,113,327	\$ 101,899,548	\$ 109,549,193	\$ 116,166,464	\$ 120,842,206	\$ 123,917,779	
4,877,624	4,763,197	4,557,202	5,263,475	5,877,007	5,896,997	
6,585,412	9,713,120	9,994,547	10,858,679	11,232,600	10,668,508	
11,955,731	12,582,260	13,890,404	15,398,662	16,040,462	16,231,105	
13,229,990	13,092,362	14,138,848	15,702,415	16,581,995	18,534,661	
5,565,497	4,593,145	4,602,541	5,000,963	5,056,479	4,945,842	
5,551,884	5,654,082	5,906,772	6,162,191	6,338,197	6,529,748	
623,877	385,765	669,560	729,280	636,469	590,548	
947,459	2,188,919	745,028	5,198,509	1,025,704	2,780,541	
42,850,527	59,615,069	57,975,011	47,648,288	79,812,987	77,886,985	
3,735,000	7,775,000	7,235,000	10,879,607	19,212,478	13,106,719	
422,161	2,325,183	2,817,832	4,423,206	5,710,654	9,600,172	
-	-	-	-	226,658	379,187	
\$ 196,458,489	\$ 224,587,650	\$ 232,081,938	\$ 243,431,739	\$ 288,593,896	\$ 291,068,792	
2.71%	6.12%	5.82%	7.82%	11.97%	11.94%	

Iowa City Community School District

Other Financing Sources and Uses and Net Change in Fund Balances

Governmental Funds

Last Ten Fiscal Years

(modified accrual basis of accounting)

(Unaudited)

	Fiscal Year			
	2011	2012	2013	2014
Excess of revenues over (under) expenditures	\$ 11,902,475	\$ 1,484,428	\$ (1,466,800)	\$ (8,500,793)
Other financing sources (uses):				
General long-term debt issued	\$ -	\$ 15,890,000	\$ -	\$ -
Premium on bond issuance	-	1,232,599.00	-	-
Discount on bond issuance	-	-	-	-
Payment to bond escrow agent	-	(12,376,759.00)	-	-
Other, including sale of capital assets	-	4,499,440.00	-	7,621
Capital lease financing	-	-	-	-
Transfers in	182,000	182,000	172,000	182,000
Transfers out	(182,000)	(182,000)	(172,000)	(182,000)
Total other financing sources (uses)	-	9,245,280	-	7,621
Net change in fund balances	\$ 11,902,475	\$ 10,729,708	\$ (1,466,800)	\$ (8,493,172)

Fiscal Year					
2015	2016	2017	2018	2019	2020
\$ (22,288,716)	\$ (42,460,963)	\$ (40,493,512)	\$ (43,984,203)	\$ (73,485,260)	\$ (72,662,762)
\$ 9,430,000	\$ 60,030,000	\$ 21,185,000	\$ 89,240,000	\$ 66,645,000	\$ 65,925,000
191,145	4,694,294	-	3,491,252	4,917,515	5,476,665
-	-	-	(73,328)	-	-
-	-	-	-	-	-
-	-	-	344,565	-	-
-	-	1,500,000	-	-	-
1,056,061	6,729,315	8,937,632	13,214,213	12,383,653	12,433,164
(1,056,061)	(6,729,315)	(8,937,632)	(13,214,213)	(12,383,653)	(12,433,164)
9,621,145	64,724,294	22,685,000	93,002,489	71,562,515	71,401,665
\$ (12,667,571)	\$ 22,263,331	\$ (17,808,512)	\$ 49,018,286	\$ (1,922,745)	\$ (1,261,097)

Iowa City Community School District

Assessed Value and Actual Value of Taxable Property Last Ten Fiscal Years (Unaudited)

Fiscal Year	Actual Value			Total Actual Value	Total Taxable Value	Total Direct Rate
	Residential Property	Commercial Property	Agricultural and Other Property			
2011	\$ 5,868,493,394	\$ 1,985,199,157	\$ 147,989,706	\$ 8,001,682,257	\$ 4,643,640,687	14.690%
2012	6,051,524,322	1,943,695,634	154,268,256	8,149,488,212	4,806,027,801	14.590
2013	6,300,549,300	2,064,767,753	182,998,016	8,548,315,069	5,010,901,831	14.073
2014	6,560,418,660	2,080,459,785	180,298,716	8,821,177,161	5,200,640,964	13.688
2015	7,083,834,010	2,025,642,591	189,592,895	9,299,069,496	5,471,006,291	13.700
2016	7,287,199,580	2,082,744,148	187,200,825	9,557,144,553	5,600,477,037	13.868
2017	7,777,625,340	2,364,423,414	85,321,327	10,227,370,081	5,978,490,538	13.989
2018	8,017,837,490	2,443,440,521	76,091,940	10,537,369,951	6,229,388,162	13.958
2019	8,828,930,000	2,610,622,092	55,837,000	11,495,389,092	6,543,211,455	14.856
2020	9,062,196,590	2,628,441,760	55,769,080	11,746,407,430	6,883,478,180	14.791

Source: Johnson County Auditor.

Note: The actual values are determined as of January 1, of the fiscal year indicated. These actual values are used to calculate the taxable values for the second budget following assessment date. For example, the total actual value of \$10,537,369,951 from January 1, 2018 are used for the taxable values for fiscal year 2020.

Iowa City Community School District

Direct and Overlapping Property Tax Rates

Last Ten Fiscal Years

(rate per \$1,000 of assessed value)

(Unaudited)

Fiscal Year Ended June 30	District Direct Rates				Overlapping Rates			
	General	Capital	Debt Service	Total	County	City of	Area	Other
	Purposes	Purposes	Purposes			Iowa City	School	
2011	12.293	\$ 1.670	\$ 0.727	\$ 14.690	\$ 7.222	\$ 17.756	\$ 0.926	\$ 0.321
2012	12.171	1.670	0.749	14.590	6.990	17.842	0.999	0.333
2013	11.706	1.670	0.697	14.073	6.749	17.269	1.079	0.329
2014	11.383	1.670	0.635	13.688	6.737	16.805	1.065	0.344
2015	11.432	1.670	0.598	13.700	6.742	16.705	1.058	0.323
2016	11.612	1.670	0.586	13.868	6.903	16.651	1.061	0.328
2017	11.771	1.670	0.550	13.991	6.771	16.583	1.080	0.324
2018	11.760	1.670	0.529	13.959	6.851	16.333	1.132	0.330
2019	11.231	1.670	1.955	14.856	6.536	16.183	1.203	0.306
2020	11.672	1.670	1.449	14.791				

Source: Johnson County Auditor and Iowa Department of Management.

Iowa City Community School District

Principal Property Taxpayers Current Year and Nine Years Ago (Unaudited)

Taxpayer	2020			2011		
	Taxable Value	Rank	Percentage of Total Taxable Value	Taxable Value	Rank	Percentage of Total Taxable Value
Coral Ridge Mall LLC	\$ 65,243,200	1	0.95%	\$ 69,878,000	2	1.56%
Rise at Riverfront Crossing Owner LLC	55,704,910	2	0.81	-	-	-
Hawkeye Housing LLC	50,166,360	3	0.73	-	-	-
Latitude at River Landing	49,633,100	4	0.72	-	-	-
American College Testing Program, Inc.	42,611,150	5	0.62	45,634,391	3	1.02
Tailwind Iowa City LLC	42,542,070	6	0.62	-	-	-
City of Coralville	37,321,700	7	0.54	28,495,100	4	0.64
808 on 5th LLC	36,868,200	8	0.54	-	-	-
Hy-Vee Inc	30,962,900	9	0.45	-	-	-
Hawk Landlors (IA) LLC	29,376,100	10	0.43	-	-	-
Mid American Energy Co	-	-	-	90,527,958	1	2.02
Raycal Iowa LTD	-	-	-	24,625,490	5	0.55
Individual	-	-	-	22,894,477	6	0.51
City Center Parners	-	-	-	21,482,220	7	0.48
ITC Midwest LLC	-	-	-	20,552,153	8	0.46
Individual	-	-	-	19,794,600	9	0.44
Plaza Towers LLC	-	-	-	17,101,360	10	0.38
All other taxpayers	6,443,048,490	-	-	4,112,503,235	-	-
Total	\$ 6,883,478,180			\$ 4,473,488,984		

Source: Johnson County Auditor.

Iowa City Community School District

Property Tax Levies and Collections Last Ten Fiscal Years (Unaudited)

Fiscal Year	Taxes Levied for the Fiscal Year	Collected Within the Fiscal Year of the Levy		Delinquent Tax Collections ¹	Total Collections to Date	
		Amount	Percentage of Levy		Amount	Percentage of Levy
2011	\$ 63,761,728	\$ 63,688,547	99.88%	\$ 11,073	\$ 63,699,620	99.90%
2012	65,691,101	65,569,688	99.82	3,721	65,573,409	99.82
2013	66,443,766	66,421,113	99.96	4,512	66,425,625	99.97
2014	65,648,860	65,594,662	99.92	-	65,594,662	99.92
2015	68,524,114	69,442,154	101.34	3,060	69,445,214	101.34
2016	71,037,013	71,874,564	101.18	-	71,874,564	101.18
2017	77,594,186	77,537,625	99.93	769	77,538,394	99.93
2018	80,680,381	80,666,569	99.98	20,410	80,686,979	100.01
2019	92,349,637	92,238,102	99.88	7,644	92,245,746	99.89
2020	95,100,386	93,272,953	98.08	1,017	93,273,970	98.08

Source: Johnson County Auditor and District records.

¹ Delinquent tax collection is presented by collection year, rather than levy year, because information is not available from Johnson County Treasurer by levy year.

Iowa City Community School District

**Ratios of Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)**

Fiscal Year	General Obligation Bonds Outstanding	Percent of Actual Taxable Value of Property	Per Capita	Other Governmental Activities Debt	
				Capital Loan Notes	Sales Tax Revenue Bonds
2011	\$ 21,603,863	0.46%	\$ 195.50	\$ -	\$ -
2012	18,874,126	0.37	163.55	-	-
2013	16,048,419	0.30	137.86	-	-
2014	12,874,476	0.24	111.64	-	-
2015	9,866,080	0.18	89.69	8,630,000	-
2016	6,633,240	0.12	60.30	7,830,000	60,352,252
2017	3,370,969	0.06	29.57	7,015,000	77,642,502
2018	62,266,534	0.95	541.45	6,190,000	100,898,395
2019	122,977,663	1.78	1,068.18	5,355,000	92,859,513
2020	189,311,326	2.61	1,642.44	4,510,000	84,601,408

	Capital Lease	Total Primary Government	Percentage of Personal Income	Per Capita
2011	\$ -	\$ 21,603,863	*	\$ 195.50
2012	-	18,874,126	*	163.55
2013	-	16,048,419	*	137.86
2014	-	12,874,476	*	111.64
2015	-	18,496,080	*	168.14
2016	-	74,815,492	*	680.12
2017	-	88,028,471	*	772.18
2018	-	169,354,929	*	1,472.66
2019	752,914	221,945,090	*	1,927.81
2020	381,196	278,803,930	*	2,421.68

Source: District records

* Information not available

Iowa City Community School District

Direct and Overlapping Governmental Activities Debt As of June 30, 2020 (Unaudited)

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable*	Estimated Share of Direct and Overlapping Debt
City of Iowa City	32,815,000	99.999%	\$ 32,814,672
City of Coralville	299,761,904	76.645	229,752,511
City of North Liberty	31,940,000	68.311	21,818,533
City of Hills	642,000	100.000	642,000
Kirkwood Community College	115,861,000	74.326	86,114,847
Johnson County	29,809,719	74.278	22,142,063
City of University Heights	1,525,000	100.000	1,525,000
Subtotal, overlapping debt			<u>394,809,626</u>
District direct debt			<u>181,415,000</u>
Total direct and overlapping debt			<u><u>\$ 576,224,626</u></u>

Source: Johnson County Auditor

* Estimate is based upon overlapping total assessed value and assessed value within Iowa City Community School District boundaries.

Iowa City Community School District

Legal Debt Margin Information Last Ten Fiscal Years (Unaudited)

	2011	2012	2013	2014
Debt limit	\$ 383,874,475	\$ 391,013,093	\$ 400,084,113	\$ 407,474,411
Total net debt applicable to limit	21,505,000	17,990,000	15,165,000	12,280,000
Legal debt margin	<u>\$ 362,369,475</u>	<u>\$ 373,023,093</u>	<u>\$ 384,919,113</u>	<u>\$ 395,194,411</u>
Total net debt applicable to the limit as a percentage of debt limit	5.60%	4.60%	3.79%	3.01%

Source: Johnson County Auditor and District records.

Legal Debt Margin Calculation for Fiscal Year 2020

Assessed value—2018 valuation

\$ 10,773,522,141

Debt limit (5% of assessed value)

\$ 538,676,107

Debt applicable to limit

181,415,000

Legal debt margin

\$ 357,261,107

2015	2016	2017	2018	2019	2020
\$ 427,415,753	\$ 441,058,858	\$ 477,857,228	\$ 487,929,188	\$ 521,359,947	\$ 538,676,107
9,345,000	6,320,000	10,220,000	65,145,000	120,450,000	181,415,000
\$ 418,070,753	\$ 434,738,858	\$ 467,637,228	\$ 422,784,188	\$ 400,909,947	\$ 357,261,107

2.19% 1.43% 2.13% 13.35% 23.10% **33.68%**

Iowa City Community School District

Demographic and Economic Statistics Last Ten Calendar Years (Unaudited)

Calendar Year	Iowa City Population	Total District Population (approximate)	Personal Income (000's) (Johnson County)	Per Capita Personal Income (Johnson County)	Iowa City MSA Unemployment Rate
2010	67,862	110,000	*	*	5.00
2011	67,862	110,000	*	*	4.30
2012	67,862	110,000	*	*	3.80
2013	67,862	110,000	*	*	3.10
2014	67,862	110,000	*	*	2.50
2015	67,862	110,000	*	*	3.30
2016	67,862	114,000	*	*	2.80
2017	67,862	115,000	*	*	2.00
2018	67,862	115,000	*	*	2.10
2019	67,662	115,000	*	*	5.80

* Information not available

Source: City of Iowa City and Regional Economic Information System, Bureau of Economic Analysis, U.S. Department of Commerce, Iowa Workforce Development (August 2019) and Johnson County Auditor.

Iowa City Community School District

Principal Employers Current Year and Nine Years Ago (Unaudited)

Employer	2020			2011		
	Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
The University of Iowa	18,330	1	18.40%	25,387	1	27.21%
The University of Iowa Hospitals and Clinics	8,704	2	8.74	9,682	2	0.10
Iowa City Community School District	2,346	3	2.36	1,676	3	0.02
Mercy Hospital	1,643	4	1.65	1,266	6	1.36
Veterans Health Administrator	1,351	5	1.36	1,351	5	1.45
American College Testing	1,350	6	1.36	1,221	7	1.31
Pearson Educational Measurement	1,200	7	1.20	1,400	4	1.50
Hy-Vee Food Stores, Inc.	1,166	8	1.17	1,500	8	1.61
City of Iowa City	1,108	9	1.11	-	-	-
Systems Unlimited	838	10	0.84	838	9	0.90
International Automotive Comp (formerly United Tech)	750	11	0.75	-	-	-
Schenker Logistics	632	12	0.63	-	-	-
Wal-Mart	602	13	0.60	-	-	-
Rockwell International	-	-	-	828	10	0.89
All other employers	59,580	-	-	48,151	-	-
Total	99,600		43.16%	93,300		42.03%

Source: Iowa Workforce Development and Iowa City Area Development (2019 data).

Iowa City Community School District

Full-Time Equivalent District Employees By Type Last Ten Fiscal Years (Unaudited)

	Full-Time Equivalent Employees as of June 30			
	2011	2012	2013	2014
Supervisory:				
Instructional administrators	1.00	1.00	1.00	1.00
Noninstructional administrators	9.00	9.60	10.60	17.20
Athletic/activity directors	2.00	2.00	2.00	2.50
Principals	24.00	23.50	23.50	23.50
Assistant principals	7.00	7.00	6.00	7.50
Total supervisory	43.00	43.10	43.10	51.70
Instruction:				
Elementary classroom teachers	349.08	349.71	372.77	390.44
Secondary classroom teachers	230.82	238.13	260.50	267.56
Other classroom teachers	219.01	204.40	208.82	229.12
Paraprofessionals	307.70	336.18	382.95	382.12
Total instruction	1,106.61	1,128.42	1,225.04	1,269.24
Student services:				
Guidance counselors	29.93	29.30	31.10	33.40
Media specialists	26.82	26.80	25.80	27.00
Other professionals (noninstructional)	29.00	33.00	29.00	39.00
Consultants/supervisory	11.98	9.14	11.03	8.70
Total student services	97.73	98.24	96.93	108.10
Support and administration:				
Clerical/secretarial	111.00	109.50	112.00	122.00
Food service workers	87.00	76.63	81.38	78.63
Physical plant	116.20	117.70	116.90	123.75
Other	14.00	16.00	11.00	15.00
Total support and administration	328.20	319.83	321.28	339.38
Total	1,575.54	1,589.59	1,686.35	1,768.42

Source: District records

Full-Time Equivalent Employees as of June 30						Percentage Change 2011 - 2020
2015	2016	2017	2018	2019	2020	
1.00	2.00	2.00	2.00	2.00	2.00	100.00%
16.50	14.50	18.00	17.00	17.30	18.00	100.00%
2.50	2.50	2.50	3.50	3.50	3.00	50.00%
23.50	24.50	26.00	27.00	28.00	27.00	12.50%
6.50	7.00	7.00	9.00	12.00	12.00	71.43%
50.00	50.50	55.50	58.50	62.80	62.00	44.19%
384.64	403.48	415.62	435.26	438.48	409.98	17.45%
255.64	265.83	261.32	281.24	284.94	279.18	20.95%
235.97	243.38	245.09	251.75	281.39	275.81	25.93%
383.96	362.71	375.10	438.05	469.53	520.66	69.21%
1,260.21	1,275.40	1,297.13	1,406.30	1,474.34	1,485.63	34.25%
29.72	27.79	27.50	31.80	34.30	34.90	16.61%
26.00	25.80	25.80	27.75	28.50	25.65	-4.36%
39.00	45.00	44.00	46.25	49.19	52.92	82.48%
9.76	8.50	43.40	47.06	45.28	44.54	271.79%
104.48	107.09	140.70	152.86	157.27	158.01	61.68%
122.00	124.00	115.00	122.97	133.63	130.56	17.62%
73.00	84.33	90.25	102.29	102.75	105.46	21.22%
130.06	124.44	127.37	138.25	145.25	152.69	31.40%
18.00	20.00	18.00	24.00	27.00	29.00	107.14%
343.06	352.77	350.62	387.51	408.63	417.71	27.27%
1,757.75	1,785.76	1,843.95	2,005.17	2,103.04	2,123.35	34.77%

Iowa City Community School District

Operating Statistics Last Ten Fiscal Years (Unaudited)

Fiscal Year	Official Enrollment	Operating Expenses	Cost Per Pupil	Percentage Change
2010	11,903	\$ 127,089,200	\$ 10,677	3.91%
2011	12,011	129,309,991	10,766	0.83
2012	12,454	136,681,845	10,975	1.94
2013	12,774	149,855,123	11,731	6.89
2014	13,159	156,290,131	11,877	1.23
2015	13,328	150,289,181	11,276	(5.06)
2016	13,671	163,148,832	11,934	5.83
2017	13,982	170,847,691	12,219	2.39
2018	14,198	193,646,342	13,639	11.62
2019	14,285	200,092,331	14,007	2.70
2020	14,572	206,821,197	14,193	1.33

Source: District records

Note: Operating expenditures represents governmental activity expenditures less interest on long-term debt. Expenses represent business-type activity expenses, which includes the District's School Nutrition Fund.

Expenses	Cost Per Pupil	Percentage Change	Teaching Staff (in FTE)	Pupil-Teacher Ratio	Percentage of Students Receiving Free or Reduced-Priced Meals
\$ 4,177,029	\$ 351	2.03%	794.56	14.98	29.05%
4,158,824	346	(1.42)	798.91	15.03	29.60
4,432,821	356	2.89	792.24	15.72	29.43
4,821,834	377	5.89	842.09	15.17	33.76
5,507,940	419	11.14	887.12	14.83	35.06
5,822,005	437	4.29	876.25	15.21	33.74
6,189,701	453	3.67	912.69	14.98	35.73
6,036,498	432	(4.63)	922.03	15.16	36.80
6,481,988	456	5.55	968.25	14.66	35.50
6,575,441	460	0.01	1004.81	14.22	38.10
6,605,943	453	(0.02)	964.97	15.10	37.70

Iowa City Community School District

School Building Information

Last Ten Fiscal Years

(Unaudited)

School	Fiscal Year			
	2011	2012	2013	2014
Elementary:				
Coralville Central Elementary (1948,1959)				
Square feet	52967	52967	52967	52967
Capacity	462	462	506	506
Enrollment	430	437	445	426
Samuel Kirkwood Elementary (1963,1968,1987)				
Square feet	48045	48045	48045	48045
Capacity	352	352	437	437
Enrollment	314	321	319	378
Herbert Hoover Elementary (2017)**				
Square feet	36643	36643	36643	36643
Capacity	330	330	437	437
Enrollment	377	375	372	325
Hills Elementary (1965, 1969)				
Square feet	24449	24449	24449	24449
Capacity	220	220	276	276
Enrollment	98	110	112	100
Ernest Horn Elementary (1969, 1978, 2011)				
Square feet	35303	50603	50603	50603
Capacity	286	436	506	506
Enrollment	363	364	461	464
Helen Lemme Elementary (1970, 1975, 1998)				
Square feet	36293	36293	36293	36293
Capacity	308	308	368	368
Enrollment	338	344	372	399
Lincoln Elementary (1926, 1988)				
Square feet	25832	25832	25832	25832
Capacity	220	220	253	253
Enrollment	250	241	246	239
Longfellow Elementary (1917)				
Square feet	30148	30148	30148	30148
Capacity	308	308	391	391
Enrollment	318	349	334	322
Robert Lucas Elementary (1962, 1978, 1990)				
Square feet	42080	42080	42080	42080
Capacity	418	418	506	506
Enrollment	411	441	436	424
Horace Mann Elementary (1917)				
Square feet	29360	29360	29360	29360
Capacity	286	286	345	345
Enrollment	250	245	260	245
Penn Elementary (1961, 1985, 1995)				
Square feet	38838	38838	38838	38838
Capacity	418	418	460	460
Enrollment	464	502	516	524

** The District constructed a new school building but transferred the same name to the new building in 2017

(Continued)

Fiscal Year					
2015	2016	2017	2018	2019	2020
52967	52967	52967	52967	52967	53287
506	506	506	420	420	420
40	422	439	431	429	452
48045	48045	48045	48045	48045	51764
437	437	437	468	468	468
363	314	343	324	350	280
36643	36643	36643	67388	67388	67388
437	437	437	575	575	575
311	272	261	256	261	420
24449	24449	24449	24449	24449	24565
276	276	276	200	200	200
111	184	199	198	188	175
50603	50603	50603	50603	50603	50179
506	506	506	468	468	468
493	500	480	413	394	440
36293	36293	36293	36293	36293	36878
368	368	368	420	420	420
407	395	377	376	397	369
25832	25832	25832	25832	25832	43908
253	253	253	253	240	240
237	239	227	228	214	240
30148	30148	30148	30148	30148	63554
391	391	391	360	360	360
329	338	336	304	341	403
42080	42080	42080	42080	42080	46342
506	506	506	410	410	410
405	442	442	455	455	335
29360	29360	29360	29360	29360	51619
345	345	345	345	242	242
223	222	242	223	218	242
38838	38838	38838	38838	38838	75232
460	460	460	460	633	633
530	552	576	636	616	494

Iowa City Community School District

School Building Information (Continued) Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2011	2012	2013	2014
Elementary:				
Theodore Roosevelt Elementary (1931, 1961) *				
Square feet	29,008	29,008	29,008	29,008
Capacity	264	264	264	264
Enrollment	299	283	40	40
Bouhmil Shimek Elementary (1970, 1991)				
Square feet	28,130	28,130	28,130	28,130
Capacity	242	242	276	276
Enrollment	202	208	228	215
Mark Twain Elementary (1954, 1961)				
Square feet	40,204	40,204	40,204	40,204
Capacity	330	330	460	460
Enrollment	203	226	299	323
Irving Weber Elementary (1993, 2001)				
Square feet	48,400	48,400	48,400	48,400
Capacity	484	484	506	506
Enrollment	553	568	477	492
Grant Wood Elementary (1969, 1993, 2006)				
Square feet	59,890	59,890	59,890	59,890
Capacity	484	484	575	575
Enrollment	474	523	569	525
Kate Wickham Elementary (1997)				
Square feet	56,049	56,049	56,049	56,049
Capacity	418	418	506	506
Enrollment	489	477	481	482
James Van Allen Elementary (2005)				
Square feet	61,081	61,081	61,081	61,081
Capacity	484	484	552	552
Enrollment	425	446	499	500
Buford Garner Elementary (2010)				
Square feet	63,715	63,815	63,815	63,815
Capacity	500	500	529	529
Enrollment	388	429	504	539
Norman Borlaug Elementary (2012)				
Square feet	-	-	67,029.00	67,029
Capacity	-	-	552.00	552
Enrollment	-	-	352.00	382
Alexander Elementary (2015)				
Square feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Christine Grant Elementary (2019)				
Square feet				
Capacity				
Enrollment				
Junior High:				
Northwest Junior High School (1971, 1995)				
Square feet	124,436	124,436	124,436	124,436
Capacity	875	875	875	875
Enrollment	638	641	650	679

* During fiscal year 2013, the District changed the name of this school to Theodore Roosevelt Education Center and are serving students for various programs in this building. Effective June 2019, the District is no longer serving student in this facility.

(Continued)

Fiscal Year					
2015	2016	2017	2018	2019	2020
29,008	29,008	29,008	29,008	29,008	29,898
264	264	264	264	264	-
40	40	40	50	50	-
28,130	28,130	28,130	28,130	28,130	28,130
276	276	276	290	290	290
210	212	215	212	208	204
40,204	40,204	40,204	40,204	40,204	51,714
460	460	460	360	360	360
378	262	311	336	345	209
48,400	48,400	48,400	48,400	48,400	68,370
506	506	506	506	575	575
490	422	425	467	466	576
59,890	59,890	59,890	59,890	59,890	62,773
575	575	575	575	525	525
511	360	305	306	301	325
56,049	56,049	56,049	56,049	56,049	55,430
506	506	506	525	525	525
503	529	513	483	477	411
61,081	61,081	61,081	61,081	61,081	65,779
552	552	552	552	552	564
507	524	501	501	502	466
63,815	63,815	63,815	63,815	63,815	67,398
529	529	529	525	525	525
581	609	619	658	682	509
67,029	67,029	67,029	67,029	67,029	68,205
552	552	552	468	468	468
403	431	431	457	507	467
-	67,714.00	67,714	67,714	67,714	74,319
-	500.00	500	500	575	575
-	348.00	407	418	427	328
					76,410
					625
					522
124,436	124,436	124,436	124,436	124,436	127,547
875	875	875	875	850	850
641	628	652	728	706	768

Iowa City Community School District

School Building Information (Continued) Last Ten Fiscal Years (Unaudited)

School	Fiscal Year			
	2011	2012	2013	2014
Junior High (continued):				
South East Junior High School (1959, 1982, 1995)				
Square feet	138,806	138,806	138,806	138,806
Capacity	775	775	775	775
Enrollment	674	733	761	771
North Central Junior High School (2006)				
Square feet	82,612	82,612	82,612	82,612
Capacity	450	450	450	450
Enrollment	400	414	469	467
High School:				
City High School (1939, 1974, 1982, 1985, 1990, 1995, 2005, 2013)				
Square feet	267,752	267,752	267,752	287,047
Capacity	1,600	1,600	1,600	1,600
Enrollment	1,409	1,410	1,414	1,494
West High School (1969, 1983, 1986, 1993, 1996, 2005)				
Square feet	339,217	339,217	339,217	339,217
Capacity	1,800	1,800	1,800	1,800
Enrollment	1,863	1,910	1,956	1,941
Elizabeth Tate High School (2005)				
Square feet	19,700	19,700	19,700	19,700
Capacity	160	160	160	160
Enrollment	118	162	149	135
Liberty High School (2017)				
Square feet	-	-	-	-
Capacity	-	-	-	-
Enrollment	-	-	-	-
Portable Classrooms (Various)				
Square feet	33,296	33,296	36,000	35,100
Capacity				
Number	37	37	40	39
Other:				
Central Administration Building (1917)				
Square feet	24,588	-	-	-
Educational Services Center (2011)				
Square feet	-	41,776	41,776	41,776
Physical Plant Building (1984)				
Square feet	19,638	19,638	19,638	19,638
Athletics:				
Football fields	5	5	5	5
Soccer fields	1	2	2	2
Running tracks	2	2	2	2
Baseball/softball fields	4	4	4	4
Tennis Courts	2	2	2	2
Playgrounds	19	19	19	19

Source: District records

Fiscal Year					
2015	2016	2017	2018	2019	2020
138,806	138,806	138,806	138,806	138,806	146,237
775	775	775	775	750	750
800	801	826	747	780	818
82,612	82,612	82,612	82,612	82,612	115,496
450	450	450	450	450	800
478	504	551	547	551	582
287,047	287,047	287,047	287,047	287,047	288,505
1,600	1,600	1,600	1,600	1,600	1,600
1,599	1,668	1,717	1,537	1,578	1,564
339,217	339,217	339,217	339,217	339,217	356,576
1,800	1,800	1,800	1,800	1,600	1,600
1,985	2,001	2,092	1,548	1,494	1,439
19,700	19,700	19,700	19,700	19,700	40,356
160	160	160	160	160	168
151	158	154	163	140	146
-	-	-	270,000	270,000	305,739
-	-	-	1,000	1,000	1,500
-	-	-	723	927	1,066
35,100	35,100	35,100	35,100	35,100	44,597
39	40	40	40	40	40
-	-	-			
41,776	41,776	41,776	41,776	41,776	43,436
19,638	19,638	19,638	19,638	19,638	47,734
5	5	5	5	6	6
2	2	2	2	2	3
2	2	2	2	3	3
3	3	3	3	3	5
2	2	2	2	2	3
19	20	20	21	21	21

Iowa City Community School District

Schedule of Expenditures of Federal Awards Year Ended June 30, 2020

Federal Grantor/Pass-Through Grantor/Program Title	Federal CFDA Number	Pass-Through Entity Identifying Number	Pass Through To Subrecipients	Federal Expenditures
U.S. Department of Agriculture:				
Passed through the State Department of Agriculture and State of Iowa Department of Education: Child Nutrition Cluster:				
USDA Commodities (Noncash)	10.555	77-1737	\$ - \$	464,688
National School Lunch Program	10.555	77-1737	-	2,050,640
National School Summer Program	10.559	77-1737	-	32,822
National School Breakfast Program	10.553	77-1737	-	551,701
COVID-19—National School Lunch Program	10.555	N/A	-	1,207,705
National School Lunch Program—After School Snacks	10.555	77-1737	-	3,854
Subtotal Child Nutrition Cluster			-	4,311,410
Fresh Fruit & Vegetable Grant	10.582	N/A	-	59,580
Total U.S. Department of Agriculture			-	4,370,990
U.S. Department of Defense:				
Passed through Johnson County, Iowa: Flood Control Projects	12.106	N/A	-	5,413
U.S. Department of Education:				
Passed through State of Iowa Department of Education:				
Title I - Grants to Local Educational Agencies	84.010A	N/A	-	1,857,237
Title I - Grants to Local Educational Agencies	84.010A	N/A	-	251,181
Title I - Grants to Local Educational Agencies—Schools in Need of Assistance	84.010A	N/A	-	91,047
Subtotal			-	2,199,465
IDEA - High Cost Claim *	84.027	N/A	-	11,726
IDEA - Non-nimas Work Groups *	84.027	N/A	-	559
Vocational Education Basic Grants to States	84.048A	77-6957	-	141,835
Education for Homeless Children and Youth	84.196	N/A	-	36,943
Innovative Approaches to Literacy, Full-service Community Schools; and Promise Neighborhoods	84.215	N/A	-	146
Twenty-First Century Learning Centers	84.287A	N/A	-	457,699
Title II - Improving Teacher Quality State Grant	84.367	N/A	-	381,927
Title IV - Student Support and Academic Enrichment Program	84.424	N/A	-	166,826
COVID-19—ESSER Funds	84.425D	N/A	-	165,790
Passed through Grant Wood Area Education Agency:				
Special Education Grants to States *	84.027	N/A	-	696,449
Title III - English Language Acquisition	84.365	N/A	-	39,941
Total U.S. Department of Education			-	4,299,306
U.S. Department of Health and Human Services:				
Foster Care	93.631	N/A	-	1,265
Passed through State of Iowa Department of Health and Human Services, Child Care and Development Block Grant, CCDF Cluster	93.575	N/A	-	28,581
Total U.S. Department of Health and Human Services			-	29,846
U.S. Department of Justice				
COPS Grant	16.710		-	23,531
U.S. Environmental Protection Agency				
Environmental Education Grant	66.951	N/A	-	1,078
Total expenditures of federal awards			\$ - \$	8,730,164

* Total Special Education Cluster (CFDA No. 84.027): \$711,822

See notes to schedule of expenditures of federal awards.

Iowa City Community School District

Notes to Schedule of Expenditures of Federal Awards Year Ended June 30, 2020

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the Schedule) federal award activity of Iowa City Community School District (the District), under programs of the federal government for the year ended June 30, 2020. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position or cash flows of the District.

Note 2. Significant Accounting Policies

Expenditures of federal awards are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 3. Indirect Cost Rate

The District has elected not to use the 10% de minimus indirect cost rate allowed under the Uniform Guidance.



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**Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on
an Audit of Financial Statements Performed in
Accordance With *Government Auditing Standards***

Independent Auditor's Report

Board of Education
Iowa City Community School District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Iowa City Community School District (the District), as of and for the year ended June 30, 2020, and the related notes to the financial statements, which collectively comprise the District's basic financial statements, and have issued our report thereon dated January 15, 2021.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2020 are based exclusively on knowledge obtained from procedures performed during our audit of the basic financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

RSM US LLP

Davenport, Iowa
January 15, 2021

**Report on Compliance for the Major Federal
Program and Report on Internal Control Over Compliance
Required by the Uniform Guidance**

Independent Auditor's Report

Board of Education
Iowa City Community School District

Report on Compliance for the Major Federal Program

We have audited Iowa City Community School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on the District's major federal program for the year ended June 30, 2020. The District's major federal program is identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance of the District's major federal program based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance of the major federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on the Major Federal Program

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect of its major federal programs for the year ended June 30, 2020.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on the major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for the major federal program and to test and report on internal control over compliance in accordance with Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

RSM US LLP

Davenport, Iowa
January 15, 2021

Iowa City Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2020**

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

- Material weakness(es) identified?
- Significant deficiency(ies) identified?

☐ Yes ☒ No
☐ Yes ☒ None Reported
☐ Yes ☒ No

Noncompliance material to financial statements noted?

Federal Awards

Internal control over major programs:

- Material weakness(es) identified?
- Significant deficiency(ies) identified?

☐ Yes ☒ No
☐ Yes ☒ None Reported

Type of auditor's report issued on compliance for major programs: Unmodified

- Any audit findings disclosed that are required to be reported in accordance with
Section 2 CFR 200.516

☐ Yes ☒ No

Identification of major program:

CFDA Number	Name of Federal Program
-------------	-------------------------

10.555, 10.553 & 10.559	Child Nutrition Cluster
-------------------------	-------------------------

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒ Yes ☐ No

(Continued)

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2020

II. Findings Relating to the Financial Statement Audit as Required to be Reported in Accordance with Generally Accepted Government Auditing Standards

A. Internal Control

None reported.

B. Instances of Noncompliance

None reported.

III. Findings and Questioned Costs for Federal Awards

A. Internal Control

None reported.

B. Instances of Noncompliance

None reported.

IV. Other Findings Related to Required Statutory Reporting

IV-A-20—Certified Budget and General Fund Spending Authority

No expenditures exceeded the amended certified budget amounts.

IV-B-20—Questionable Disbursements

No expenditures that may not meet the requirements of public purpose defined in the Attorney General's opinion dated April 25, 1979, were noted.

IV-C-20—Travel Expenses

No disbursements of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-20—Business Transactions

Finding: 1 of 25 vendors tested that met the qualifications for filing a Form 1099 did not have a Form 1099 filed.

Recommendation: The District should obtain a 1099 for all required entities.

Response and corrective action plan: The District will obtain a 1099 for all required entities.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2020

Business transactions with related parties: Business transactions between the District and District officials or employees are detailed as follows:

Name, Title, and Business Connection	Transaction Description	Amount
Janet Godwin, School Board Member, Chief Operating Officer of ACT, Inc.	Services	\$1,819

These transactions do not appear to represent a conflict of interest as they were entered into in accordance with Chapter 362.5 of the Code of Iowa.

IV-E-20—Restricted Donor Activity

No transactions were noted between the District, District Officials or District employees and restricted donor in compliance with Chapter 68B of the Code of Iowa.

IV-F-20—Bond Coverage

Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage is reviewed annually to ensure the coverage is adequate for current operations.

IV-G-20—Board Minutes

No transactions requiring Board approval which had not been approved in the Board minutes were noted.

IV-H-20—Certified Enrollment

Finding: There were various certified enrollment variances identified by the state and the District that resulted in a decrease of 14.09 students from the October 1, 2019 certified enrollment numbers reported by the District.

Recommendation: The District should correct errors prior to providing the information to the state to avoid adjustments made by the state.

Response and corrective action plan: The District will contact the Iowa Department of Education and Iowa Department of Management notifying them of the above changes. The District will continue to monitor supporting information and reconciliation of data submitted to the Iowa Department of Education.

IV-I-20—Supplementary Weighting

No variances regarding the supplementary weighting certified to the Iowa Department of Education were noted.

IV-J-20—Deposits and Investments

No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Iowa Code and the District's investment policy were noted.

Iowa City Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2020

IV-K-20—Certified Annual Report

The Certified Annual Report (CAR) was filed with the Department of Education timely.

IV-L-20—Categorical Funding

No instances were noted of categorical funding being used to supplant rather than supplement other funds.

IV-M-20—State-Wide Sales, Services and Use Tax

No instances of noncompliance with the use of the state-wide sales, services and use tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted.

Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the state-wide sales, services and use tax revenue. For the year ended June 30, 2020, the District's financial activity and other required information for the state-wide sales, services and use tax revenue are as follows:

Beginning balance	\$	4,104,780
State-wide sales, services and use tax		14,800,144
Interest		179,761
Contributions and rebates		35,630
Expenditures/transfers out:		
Family Resource Programs		(570,306)
Administration services		
School infrastructure:		
Buildings		(327,870)
Equipment		(2,914,697)
Transfer to debt service		(11,178,102)
Ending balance	\$	<u><u>4,129,340</u></u>

For the year ended June 30, 2020, the District did not reduce any levies as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

IV-N-20—Deficit Balances

None of the District's funds had deficit fund balances as of June 30, 2020.

IV-O-20—Revenue Bonds

The District has an appropriate sinking fund as required for revenue bonds outstanding as of June 30, 2020.

IV-P-20—Student Activity Fund

No instances of noncompliance with the use of student activity funds provisions of Chapter 298A.8 of the Code of Iowa and Iowa Administrative Rule 281-12.6(1).

IV-Q-20—Early Childhood Iowa Area Board

The District is not the fiscal agent for the Early Childhood Iowa Area Board.



Iowa City Community School District

Educational Services Center

Matthew Degner Interim Superintendent of Schools

1725 North Dodge Street • Iowa City, IA 52245 • (319) 688-1000 • Fax (319) 688-1009 • www.iowacityschools.org

SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS FOR THE YEAR ENDED JUNE 30, 2020

Identifying Number: 2019-001

Audit Finding: The District does not have adequate segregation of duties over year-end financial reporting transactions after June 30, 2019.

Corrective Action Taken: Corrected. The District hired an additional employee on July 22, 2019. The District reassigned duties within the finance department for various financial reporting areas. In addition, the Chief Operating Officer and Superintendent are meeting with the Director of Budget & Finance to review budget to actual reports on a regular basis including weekly meetings related to all operations of the Business Services team.

Respectfully,

Leslie Finger
Director of Budget & Finance, Treasurer
School Business Official
Iowa City Community School District